

FATF



UNIVERSAL PROCEDURES 2023

CONSOLIDATED PROCESSES
AND PROCEDURES FOR
MUTUAL EVALUATIONS AND
FOLLOW-UP

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FINANCIAL ACTION TASK FORCE

The Financial Action Task Force (FATF) is an independent inter-governmental body that develops and promotes policies to protect the global financial system against money laundering, terrorist financing and the financing of proliferation of weapons of mass destruction. The FATF Recommendations are recognised as the global anti-money laundering (AML) and counter-terrorist financing (CFT) standard.

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THE UNIVERSAL PROCEDURES 2023

CONSOLIDATED PROCESSES AND PROCEDURES FOR MUTUAL EVALUATIONS AND FOLLOW-UP (UNIVERSAL PROCEDURES)

ADOPTED IN OCTOBER 2023

Updated in June 2026

All assessment bodies should conduct mutual evaluations for compliance with the FATF Recommendations, in accordance with the *Consolidated Processes and Procedures for Mutual Evaluations and Follow-Up (Universal Procedures)*. The Global Network commenced a new round of evaluations in 2024 using these revised *Universal Procedures*.

The *Universal Procedures* for the previous round of AML/CFT Mutual Evaluations and the 2013 FATF Methodology for assessing compliance with the FATF Recommendations and the effectiveness of AML/CFT systems will continue to apply to countries being evaluated and those engaged in follow-up processes under the previous round of evaluations.

For more information about FATF Mutual Evaluations, and the global assessment calendar see: www.fatf-gafi.org/publications/mutualevaluations

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TABLE OF ACRONYMS

AML/CFT	Anti-Money Laundering / Countering the Financing of Terrorism / Countering Proliferation Financing (also used for <i>Combating the financing of terrorism and Combatting the financing of proliferation of weapons of mass destruction</i>)
DAR	Detailed Assessment Report
DNFBPs	Designated non-financial businesses and professions
ECG	Evaluation and Compliance Group
EFU	Enhanced Follow Up
ES	Executive Summary
FATF	Financial Action Task Force
FSAP	Financial Sector Assessment Programme
FSRB	FATF-Style Regional Body
FUR	Follow-Up Report
HLPO	High Level Principles and Objectives
ICRG	International Co-operation Review Group
IMF	International Monetary Fund
KID	Key Issues Document
KRA	Key Recommended Actions
MER	Mutual Evaluation Report
NPO	Non-profit organisation
Q&C	Quality and consistency
RFU	Regular Follow Up
ROSC	Report on the Observance of Standards and Codes
TC	Technical Compliance
TCRR	Technical Compliance Re-rating
UIC	Unintended consequence
VASP	Virtual Asset Service Provider
WB	World Bank

I. INTRODUCTION

1. All Anti-Money Laundering/Countering the Financing of Terrorism (AML/CFT) assessment bodies (meaning FATF, FATF-Style Regional Bodies (FSRBs), International Monetary Fund (IMF)¹ and World Bank) will conduct assessments based on the FATF Standards,² and in accordance with the *FATF Methodology for Assessing Technical Compliance with the FATF Recommendations and the Effectiveness of AML/CFT/CPF Systems (FATF Methodology)*. In principle, all FSRBs³ assessment procedures should be read in conjunction with these *Consolidated Processes and Procedures for AML/CFT/CPF Mutual Evaluations and Follow-up (Universal Procedures)* and the same as, or close to, the *Procedures for FATF AML/CFT/CPF Mutual Evaluations, Follow-up and ICRG (FATF Procedures)*. There will be some flexibility in the procedural arrangements. However, there will be a set of principles which should apply to all assessment bodies as noted in the *High-Level Principles and Objectives for the Relationship between the FATF and the FSRBs (HLPOs)*.⁴

2. Based on the *FATF Procedures*, these are the *Universal Procedures* that should form the basis for the mutual evaluations (ME) and follow-up conducted by all assessment bodies. The FATF and FSRBs should periodically review their procedures to identify on-going challenges and update their procedures to address those challenges. When an FSRB's evaluation procedure is updated, the FATF Secretariat will check the changes against the *Universal Procedures*. When the *Universal Procedures* are updated, e.g., after the *FATF Procedures* are changed, all FSRBs' evaluation procedures should be updated within a reasonable amount of time and will be checked against the updated *Universal Procedures*. Before updating the *Universal Procedures*, the FATF should consider the impact of any changes on the FSRBs. Where any evaluation procedure of an assessment body continues to be inconsistent with the *Universal Procedures*, the FATF Secretariat would provide a paper to allow for a discussion by FATF's Evaluation and Compliance Group (ECG).

Scope, principles and objectives for mutual evaluations and follow-up

3. As set out in the *FATF Methodology*, the scope of mutual evaluations will involve two inter-related components for technical compliance and effectiveness. The technical compliance component assesses whether the necessary laws, regulations or other required measures are in force and effect, and whether the supporting anti-money laundering (AML) / countering the financing of terrorism (CFT) / countering the financing of proliferation of weapons of mass destruction (CPF) institutional frameworks are in place. The effectiveness component assesses whether the AML/CFT/CPF systems are working, and the extent to which the country⁵ is achieving the defined set of outcomes.

4. The follow-up process–, including the FATF ICRG process, is intended to: (i) encourage members' implementation of the FATF Standards; (ii) provide regular monitoring and up-to-date information on countries' compliance with the FATF Standards (including the effectiveness of their AML/CFT/CPF systems and progress against Key Recommended Actions (KRA)); and (iii) apply

¹ References to IMF refer to IMF Staff, and not the Fund itself.

² The FATF Standards comprise the Recommendations themselves and their Interpretive Notes, together with the applicable definitions in the Glossary. References to an individual Recommendation includes reference to any Interpretive Note or relevant Glossary definition.

³ IMF and WB staff conduct AML/CFT/CPF assessments based on the *FATF Procedures* or the procedures of the FSRB of the member being assessed.

⁴ HLPOs: www.fatf-gafi.org/publications/fatfgeneral/documents/high-levelprinciplesfortherelationshipbetweenthefatfandthefatf-styleregionalbodies.html

⁵ All references in the Procedures to *country* or *countries* apply equally to territories or jurisdictions.

sufficient peer pressure and accountability. Although the ICRG process applies to all the Global Network, it remains an FATF-led process.⁶

5. There are a number of general principles and objectives that govern assessment bodies’ AML/CFT/CPF assessments and follow-up conducted by the FATF and FSRBs. The procedures for all assessment bodies should:

- a) Require application of the peer review principle in all mutual evaluation and follow-up processes.
- b) Produce objective and accurate reports of a high standard in a timely way.
- c) Ensure that there is a level playing field, whereby mutual evaluation reports (MERs), including the Key Recommended Actions and Roadmap (KRA Roadmap) and executive summaries, are consistent, especially with respect to findings, recommendations and ratings.
- d) Ensure that there is transparency and equality of treatment, in terms of the assessment, follow-up and ICRG processes, for all countries assessed.
- e) Seek to ensure that the evaluation and assessment exercises conducted by all assessment bodies and follow-up exercises conducted by FATF and FSRBs are equivalent, and of a high standard.
- f) Facilitate mutual evaluation and follow-up processes that:
 - (i) are clear and transparent,
 - (ii) encourage the implementation of higher standards,
 - (iii) identify and promote good and effective practices, and
 - (iv) alert governments and the private sector to areas that need strengthening.
- g) Be sufficiently streamlined and efficient to ensure that there are no unnecessary delays or duplication in the process and that resources are used effectively.

Changes in the FATF Standards

6. All countries should be evaluated on the basis of the FATF Standards and the *FATF Methodology* as they exist at the date the country’s mutual evaluation (ME) technical compliance submission is due. For the purposes of regular or enhanced follow-up, countries should be evaluated on the basis of the *FATF Methodology* as it exists at the date the country’s submission is due for its follow-up report. The report should state clearly if an assessment has been made against recently amended Standards.

7. To ensure equality of treatment, and to protect the international financial systems, technical compliance with any FATF Standards that have been revised after the date the country’s ME technical compliance submission is due will be assessed as part of the follow-up process if they have not been assessed as part of the mutual evaluation.

8. From time to time, the FATF Plenary makes decisions regarding interpretation of the Standards and application of the *FATF Methodology* and *Procedures*. These decisions are recorded in

⁶ As such, procedures related to ICRG are set out in the *FATF Procedures*.

the FATF Summary Record⁷ of the Plenary where the decision is made, take effect immediately and are applied to all subsequent reports. However, such decisions do not constitute changes to the FATF Standards or the *FATF Methodology* and do not trigger automatic reassessment as part of the follow up process.

Scheduling mutual evaluations

9. The schedule of mutual evaluations and the number of evaluations to be prepared each year is primarily governed by the assessment body’s resources and number of MERs that can be discussed at each Plenary⁸ meeting and by the need to complete the entire round in the prescribed timeframe. Members should ensure that the assessment body has the necessary resources to complete the entire round in the prescribed timeframe.

10. The FATF and FSRBs should decide on the sequence of mutual evaluations based on risk-related considerations. These considerations could include the following factors:

- a) As the primary consideration, the date of the country’s last MER with a view to, ideally, not exceeding a maximum of 11 years or minimum of 5 years since the previous evaluation.
- b) The country’s level of implementation of the FATF Standards and resulting residual risk, follow-up status, including the country’s status in the ICRG process.⁹
- c) The relative size of the economy and relative size of the financial sector in comparison to the economy.¹⁰

11. The FATF and FSRBs may consider requests to volunteer for an earlier position in the sequence, provided that sufficient time has passed since the requesting country’s previous mutual evaluation, and that the earlier sequencing is practicable and convenient for the assessment body and other affected countries.

12. The FATF and FSRBs should maintain a schedule of mutual evaluations showing the fixed or proposed date of the on-site visit and the date for the Plenary discussion of the MER. Any proposed changes to mutual evaluation scheduling will require approval in line with the assessment body’s governance principles.

13. In line with the FATF Procedures, FATF members that are also members of FSRB(s) will undergo a joint evaluation by these bodies. These evaluations will be scheduled by the FATF in consultation with the relevant FSRB(s).¹¹

⁷ All Summary Records of non-confidential items are available to all assessment bodies.

⁸ Within an FSRB, “Plenary” refers to the body of senior officials representing member countries.

⁹ The country’s level of implementation of the FATF Standards is informed by the MER results, follow up status (i.e., existing enhanced follow-up (EFU) or regular follow up (RFU) and follow-up outcomes, resulting in a general understanding of residual risk). Risk-based sequencing should take such residual risk into account. When considering a country’s status in the ICRG process, the FATF/FSRBs could consider allowing at least 12 months between the expiration of the country’s ICRG Action Plan and the date on which the country’s TC submission is due to avoid overlap of ME and ICRG processes to the extent possible. However, if the country has not exited ICRG before the TC submission is due, the ICRG and ME processes may run concurrently.

¹⁰ This is informed by the country’s GDP and size of financial sector relative to its GDP.

¹¹ See Part V for further information on joint mutual evaluations.

Co-ordination with the FSAP process

14. The FATF Standards are recognised by the IMF and WB as one of 12 key standards and codes, for which Reports on the Observance of Standards and Codes (ROSCs) are prepared, often in the context of a Financial Sector Assessment Programme (FSAP). Under current FSAP policy, every FSAP and FSAP update should incorporate timely and accurate input on AML/CFT/CPF. Where possible, this input should be based on a comprehensive quality AML/CFT/CPF assessment, and in due course, on a follow-up assessment conducted against the prevailing standard. When there is a reasonable proximity between the date of the FSAP mission and that of a mutual evaluation or follow-up assessment conducted under the prevailing methodology, the IMF and WB allow for the key findings (including the KRA Roadmap) of that evaluation or follow-up assessment to be reflected in the FSAP.¹²

15. The basic products of the evaluation process are the MER, KRA Roadmap and the Executive Summary (for the FATF and FSRBs) and the Detailed Assessment Reports (DAR) and, if requested, ROSC (for the IMF/WB)¹³. Where possible, the KRA Roadmap and Executive Summary, whether derived from a MER or follow-up assessment report, will form the basis of the ROSC. Following the Plenary, and after the finalisation of the Executive Summary, the summary is provided by the Secretariat to the IMF or World Bank so that a ROSC can be prepared, following a pro forma review.

16. The substantive text of the draft ROSC will be the same as that of the Executive Summary, though the following formal paragraph will be added at the beginning:

This Report on the Observance of Standards and Codes for the FATF Recommendations and Effectiveness of AML/CFT/CPF Systems was prepared by [the Financial Action Task Force (FATF) or name and acronym of the FSRB]. The report provides a summary of [the/certain]¹⁴ AML/CFT/CPF measures in place in [Jurisdiction] as at [date], the level of compliance with the FATF Recommendations, the level of effectiveness of the AML/CFT/CPF system and contains recommendations on how the latter could be strengthened. The views expressed in this document have been agreed by the [FATF or FSRB] and [Jurisdiction], but do not necessarily reflect the views of the Boards or staff of the IMF or World Bank.

¹² If necessary, the staff of the IMF/WB may supplement the information derived from the ROSC to ensure the accuracy of the AML/CFT/CPF input. In instances where a comprehensive assessment or follow-up assessment against the prevailing standard is not available at the time of the FSAP, the staff of the IMF/WB may need to derive key findings on the basis of other sources of information, such as the most recent assessment report, and follow-up and/or other reports. As necessary, the staff of the IMF/WB may also seek updates from the authorities or join the FSAP mission for a review of the most significant AML/CFT/CPF issues for the country in the context of the prevailing standard and methodology. In such cases, staff would present the key findings in the FSAP documents: however, staff would not prepare a ROSC or ratings.

¹³ The DAR and ROSC use the common agreed template that is annexed to the Methodology and have the same format, although the ROSC remains the responsibility and prerogative of the IMF/World Bank.

¹⁴ For ROSCs based on an MER, the word “the” should be used; for ROSCs based on a MER follow-up assessment, the alternative wording “certain” would be used (since the follow-up assessment is not a comprehensive one).

Supra-nationality

17. When an assessed country is a member state of a supra-national jurisdiction,¹⁵ the onus is on the assessed country to provide all relevant and necessary information (both in relation to technical compliance and effectiveness) about any applicable supra-national measures that are relevant to its AML/CFT/CPF framework. This includes being responsible for facilitating the assessment team's appropriate access to representatives of any supra-national authorities and agencies that conduct operational AML/CFT/CPF activities of direct relevance to a country's implementation of AML/CFT/CPF measures. The assessment team may also request that meetings with certain national government agencies or supra-national agencies are restricted to those agencies only.

18. Any entity comprising jurisdictions in the Global Network may petition the FATF Plenary at any time to be designated as a supra-national jurisdiction for the purposes of an assessment of compliance with any FATF Standards where supra-national laws, regulations or other measures apply. To petition the FATF Plenary, the entity should submit a written request and supporting materials to the FATF Secretariat in accordance with the *FATF Procedures*. Upon receiving such a request, the FATF Secretariat will, in accordance with the *FATF Procedures*, consult with any relevant FSRB Secretariat(s) where the entity is located.

¹⁵ For the purposes of this section, a supra-national jurisdiction refers to an entity comprising jurisdictions in the Global Network which the FATF Plenary has designated as a supra national jurisdiction for the purposes of assessing compliance with any FATF Standards where supra national laws, regulations or other measures apply in line with the *FATF Procedures*.

II. ROLES AND RESPONSIBILITIES IN THE EVALUATION AND FOLLOW-UP PROCESSES

Responsibilities of the Assessed Country

19. The onus is on the assessed country to demonstrate that it has complied with the Standards and that its AML/CFT/CPF regime is effective. Therefore, the country should provide all relevant information to the assessment team during the course of the assessment, and to follow-up experts or Joint Group (JG) members during the course of follow-up or ICRG monitoring. The country should ensure that all information provided is accurate and up to date. As appropriate, assessors, follow-up experts and JG members should be able to request or access documents (redacted if necessary), data, or other relevant information. All updates and information should be provided in an electronic format and countries should ensure that laws, regulations, guidelines and other relevant documents are made available in the language of the evaluation and the original language.

20. At an early stage in the evaluation process, assessed countries should consider appointing a co-ordinator responsible for the mutual evaluation process to ensure adequate co-ordination and clear channels of communication between the Secretariat¹⁶ and the assessed country.¹⁷

21. During the on-site visit, the assessed country should ensure that confidentiality is maintained, and appropriate security protocols are in place, including measures to prevent use of listening or recording devices during meetings with authorities and deliberations of the assessment team. If interpretation from the country language to the language of the evaluation is required, the country should ensure professional and well-prepared interpreters who are subject to confidentiality requirements as outlined in paragraphs 34-36 and are available to provide, ideally, simultaneous translation or consecutive interpretation. Assessment bodies should clearly outline any additional responsibilities of the assessed country during the mutual evaluation and follow-up processes.

Responsibilities of the Mutual Evaluation Assessment Team

22. The core function of the mutual evaluation assessment team is to collectively produce an independent report (containing analysis, findings and recommendations) concerning the country's compliance with the FATF Standards, in terms of both technical compliance and effectiveness. To safeguard their independence, assessors should maintain as confidential all documents and information produced during the mutual evaluation as outlined in paragraphs 34-36 and disclose any potential bias or conflict of interest between their responsibilities as an assessor and their professional or private interests.

23. Assessors should take the lead on, or take primary responsibility for, topics related to the assessor's own area of expertise. However, assessors must also conduct an evaluation in a fully collaborative process, whereby all aspects of the evaluation are considered holistically by the entire team. Each assessor is expected to actively contribute to all parts of the evaluation. As a result, assessors will be actively involved in all areas of the report and beyond their primary assigned areas of responsibility. Assessors need to be open and flexible and seek to avoid narrow comparisons with their own national requirements or practices. Assessment bodies should clearly outline any additional responsibilities of the mutual evaluation assessment team.

¹⁶ For the purposes of these Procedures, references to “Secretariat” include reference to any FATF, FSRB, IMF or WB staff who are leading a mutual evaluation process, unless otherwise specified.

¹⁷ The co-ordinator should have the appropriate seniority to be able to co-ordinate with other authorities effectively and make certain decisions when required to do so. The co-ordinator should also have an understanding of the mutual evaluation process and be able to perform quality control of responses provided by other agencies.

24. It is critical that assessors are able to devote their time and resources for the duration of the mutual evaluation process. This includes reviewing all the documents (including the information updates on technical compliance, and information on effectiveness), collaborating with other team members and consulting with the assessed country (via the Secretariat) on an ongoing basis, raising queries and participating in conference calls prior to the on-site, preparing and conducting the on-site assessment, drafting the MER, attending post-onsite meetings (e.g. face-to-face meeting, and working group/Plenary discussions), finalising the report after adoption by Plenary, adhering to the deadlines indicated, and, if necessary, participating in a handover meeting with ICRG JG members after Plenary adoption of the MER.

Responsibilities of Mutual Evaluation Reviewers

25. The main functions of mutual evaluation reviewers (ME reviewers) are to ensure MERs are of an acceptable level of quality and consistency, and to assist both the assessment team and the assessed country by reviewing and providing timely input on the risk and scoping exercise, the draft MER, including the TC Annex and Key Recommended Actions and Roadmap (KRA Roadmap). Reviewers should maintain as confidential all documents and information produced during the mutual evaluation as outlined in paragraphs 34-36 and disclose any potential bias or conflict of interest between their responsibilities as an ME reviewer and their professional or private interests. Assessment bodies should clearly outline any additional responsibilities of the ME reviewers.

26. The ME reviewers need to be able to commit time and resources to review the risk and scoping exercise and the quality, coherence and internal consistency of the second draft TC Annex, second draft MER, as well as consistency with the FATF Standards and FATF precedent. Reviewers are encouraged to consider each TC Annex and MER in its entirety; however, each ME reviewer could, in principle, focus on part of the report so that, at minimum, ME reviewers collectively cover the entire TC Annex, MER and KRA Roadmap.

Responsibilities of Follow-up Experts

27. The function of experts for follow-up processes (follow-up experts) is to contribute to producing an independent report (including analysis, conclusions and proposed ratings) outlining the measures a country has taken to address the KRA in its KRA Roadmap, improve its technical compliance with the FATF Standards, to comply with FATF Standards that have changed since its MER or last FUR with technical compliance re-ratings (TCRR), and any area in which the country's technical compliance has diminished. To safeguard their independence, follow-up experts should maintain as confidential all documents and information produced during the follow-up exercise as outlined in paragraphs 34-36 and disclose any potential bias or conflict of interest between their responsibilities as a follow-up expert and their professional or private interests. Assessment bodies should clearly outline any additional responsibilities of the follow-up experts.

28. Follow-up experts will need to be able to commit time and resources to reviewing all the country's submissions, collaborating with any other follow-up experts involved in the follow-up exercise being open and flexible and seeking to avoid narrow comparisons with their own national requirements or practices, raising queries, participating in conference calls, conducting and writing up the analysis and adhering to the deadlines indicated. If any issues for which a follow-up expert is primarily responsible require discussion in the relevant working group or Plenary, the follow-up expert should attend the working group/Plenary discussions.

Responsibilities of the Secretariat

29. The Secretariat should engage and consult the assessed country well before the start of the mutual evaluation process. This may include early engagement with higher level authorities to obtain support for, and co-ordination of, the entirety of the evaluation process and training for the assessed country to familiarise stakeholders with the mutual evaluation process. Assessment bodies should review from time to time whether the way in which they engage with assessed countries is satisfactory.

30. The Secretariat should facilitate all engagement between the assessment team and assessed country on an ongoing basis, commencing as early as possible, but not less than eight months before the on-site. Throughout the process the Secretariat will ensure that the assessors can access all relevant material and that regular conference calls take place between assessors and the assessed country to ensure a smooth exchange of information and open lines of communication.

31. During the mutual evaluation process, the Secretariat, among other things:

- a) Impartially supports both the assessment team and the assessed country and ensures consistent application of the procedures;
- b) Focuses on quality and consistency¹⁸ of MERs, including taking steps necessary to ensure that the assessors’ analysis is clearly and concisely written, comprehensive, objective and supported by evidence;
- c) Assists assessors and assessed country in the interpretation of the Standards and application of the *FATF Methodology* in line with past FATF Plenary decisions;
- d) Ensures that assessors and assessed countries have access to relevant documentation;
- e) Co-ordinates the process and other tasks as outlined in these Procedures.

32. During the follow-up and ICRG processes, the FATF/FSRB Secretariat¹⁹ should impartially assist follow-up experts, and ICRG Joint Group (JG) members in achieving quality reports and consistency in the application of the FATF Standards, *FATF Methodology* and *Procedures*, and should impartially support the countries in follow-up and ICRG. The Secretariat of the relevant assessment body will also advise the relevant working groups and Plenary on process and procedural issues (e.g., in cases where all KRA are not fully or largely addressed or where no progress has been made). Assessment bodies should clearly outline any additional responsibilities of their Secretariat.

33. Assessment bodies should review from time to time whether their respective Secretariat is sufficiently staffed to adequately support the mutual evaluation process, understanding that 3 staff members should be considered optimal for the majority of evaluations.²⁰ Where resource issues exist, the assessment body should review its work plan and allocation of resources to other projects to ensure that work on MERs/FURs is adequately prioritised. Members should provide sufficient

¹⁸ In this context, “quality and consistency” refers to a good quality evaluation that is consistent with the processes and procedures laid down by the FATF and report based on analysis that is consistent with the FATF Standards, Methodology and Plenary decisions.

¹⁹ The ICRG process is led by the FATF, and the FATF Secretariat plays a specific role, which is outlined in the *FATF Procedures*. FSRB Secretariats will assist to ensure the quality and consistency of the reports and act as a neutral party to help reach consensus during JG discussions. See Part VII, paragraphs 153-154 for more detailed information on the role of FSRB Secretariats in the ICRG process.

²⁰ There may be instances where more than three staff members would be optimal, depending on the size, complexity and needs of the assessment.

resources to ensure that this prioritisation does not prevent the assessment body from fulfilling its core functions, as defined in the *High-Level Principles and Objectives of FATF and FATF Style Regional Bodies (HLPOs)*.

Confidentiality and Conflict of Interest

34. Assessment bodies should have adequate confidentiality requirements that apply to the assessed country and confidentiality and conflict of interest requirements that apply to the assessment team, ME reviewers, follow-up experts, (collectively referred to in this section as "participants") and any other person with access to assessment documents or information.²¹ Confidentiality requirements should apply to all discussions, internal deliberations and documents and information produced during a mutual evaluation, follow-up or ICRG process, including information produced:

- a) by an assessed country (e.g., updates and responses, documents describing a country's AML/CFT/CPF regime, measures taken, or risks faced (including those for which there will be increased or decreased focus), or responses to queries by participants;
- b) by the Secretariat or participants (e.g., reports from participants, draft MER, draft FUR, etc.); and
- c) in comments received through the consultation or review mechanisms.

35. These discussions, internal deliberations and documents and information should only be used for the specific purposes provided and should not be disclosed to any person who is not a participant, unless the assessed country and the respective assessment body (and where applicable, the originator of the document) consents to their release. These confidentiality requirements apply to the participants, the Secretariat, officials in the assessed country and any other person with access to the documents or information.

36. Before they are given access to confidential documents or information, the participants should sign a confidentiality agreement, which will include a requirement to disclose any potential bias or conflict of interest between their responsibilities as a participant in the assessment, follow-up or ICRG process and their professional or private interests.

Respecting Timelines

37. The timelines are intended to provide guidance on what is required if the reports are to be prepared within a reasonable timeframe, and in sufficient time for focused discussion in Plenary. Delays may significantly impact fairness of the process, the quality of the report and the ability of the Plenary to discuss the report in a meaningful way. It is therefore important that all parties respect the timelines.

38. The draft schedule of mutual evaluations should be prepared so as to allow enough time between the on-site visit and the Plenary discussion and reflects the ideal that the assessed country and assessment team will gradually narrow the range of issues under discussion over the course of the ME process. Timelines for follow-up and ICRG reports are also designed to allow enough time to complete the reports and allow for consideration by delegations. A failure to respect the timelines may mean that this would not be the case. By agreeing to participate in the mutual evaluation, follow-up and ICRG processes, the country, the assessors, ME reviewers, follow-up experts, and ICRG

²¹ Confidentiality, bias and conflict of interest requirements also apply to ICRG JG members, including lead reviewers, as set out in paragraphs 33 and 37-39 of the *FATF Procedures*.

JG members undertake to meet the necessary timelines and to provide full, accurate and timely responses, reports or other material as required under the agreed procedure. Where there is a failure to comply with the agreed timelines in a mutual evaluation or follow-up process, then the following actions are among those that could be taken (depending on the nature of the default) in line with the assessment body’s internal decision-making processes:

- a) Failure by the country –
 - (i) The assessment body’s President/Chair may write to the Head of Delegation or the relevant Minister in the country.
 - (ii) The report may be deferred. In the event of deferral, the Plenary will be advised as to reasons for deferral, and publicity could be given to the deferment (as appropriate) or other, additional action considered.
 - (iii) If deferment is not practicable, the assessment team or follow-up experts, supported by the secretariat, will finalise and conclude the report for Plenary consideration based on the information available to them at that time. In the case of a country under active ICRG review, deferral is not possible except in extraordinary circumstances.²²
- b) Failure by the assessors, ME reviewers, follow-up experts, and ICRG JG members or the Secretariat - the assessment body’s President/Chair may write a letter to or liaise with the Head of Delegation of the assessor, ME reviewer, follow-up expert, or the assessment body’s Executive Secretary (for the Secretariat).

39. Where there is a failure to comply with the agreed timelines by any participant in an ICRG process, the *Procedures for the FATF AML/CFT/CPF Mutual Evaluations, Follow-up and ICRG* apply.

40. The Secretariat should keep the President/Chair advised of any failures so that the assessment body’s President/Chair can respond in an effective and timely way. The Plenary is also to be advised if the failures result in a request to delay the discussion of the MER or follow-up report.

Meetings

41. While in-person meetings are generally preferred, they are not always possible. Except in cases where in-person participation is specifically required (e.g., on-site visits), meetings referred to in these Procedures may take place by video or teleconference when in-person meetings are not practicable.

Mutuality and Assessor Contributions

42. Due to the nature of the peer review process, assessment bodies should work to ensure that the mutuality of the process is maintained. Accordingly, all FATF/FSRB members should provide qualified experts to be assessors and ensure that those experts are made available to meet the responsibilities of an ME assessment team member in a timely way. Assessment bodies should consider introducing mechanisms to encourage and facilitate members to contribute assessors and experts and should implement the criteria for selecting and assessing the level of expertise of persons attending assessor training events, including those criteria approved by the FATF Plenary.

²² See the Procedures for the FATF AML/CFT/CPF Mutual Evaluations, Follow-up and ICRG.

III. COMPOSITION OF TEAMS AND SELECTION OF PARTICIPANTS IN ME AND FOLLOW-UP PROCESSES

Composition and Formation of Mutual Evaluation Assessment Team

43. Assessors should be very knowledgeable about the FATF Standards and *FATF Methodology*, and are required to successfully complete an FATF, FSRB, or joint FATF/FSRB assessor training course before they conduct a mutual evaluation. To the extent possible, at least one of the assessors should have previous experience conducting an assessment.

44. The assessors should be confirmed in line with the assessment body's governance principles. This will normally take place at least seven months before the on-site and will be coordinated with countries or international organisations that volunteer assessors for the proposed assessment.

45. The number of assessors on an assessment team may differ depending on the country and the ML/TF/PF²³ risks, context and any other relevant factors.²⁴ An assessment team will consist of expert assessors (comprising at least one legal, one financial²⁵ and one law enforcement expert), principally drawn from FATF/FSRB members, and will be supported by members of the Secretariat. Additional assessors or assessors with specific expertise may also be required. To ensure that the assessment team has the appropriate balance of knowledge and skills, a number of factors should be considered when selecting the assessors, including, to the extent possible:

- a) their relevant AML/CFT/CPF operational and assessment experience;
- b) their level of performance in the FATF, FSRB or joint FATF/FSRB assessor training course;
- c) their willingness and ability to conduct the evaluation impartially and abide by the FATF/FSRB Procedures, including requirements related to confidentiality and conflict of interest or potential bias;
- d) their availability to make the necessary time commitment to take part in a mutual evaluation or follow-up process and to attend the meetings;
- e) their interpersonal skills to work well in a multi-cultural team, and to communicate with diplomatic sensitivity;
- f) the language of the evaluation;
- g) the nature of the legal system (civil law or common law) and institutional framework;
- h) regional and gender balance among members of the assessment team; and
- i) any specific characteristics of the assessed country (e.g., size and composition of the economy and financial sector, geographical factors, and trading or cultural links).

²³ "Proliferation financing risk" refers strictly and only to the potential breach, non-implementation or evasion of the targeted financial sanctions obligations referred to in Recommendation 7.

²⁴ Other relevant factors include: the size, maturity and complexity of the country's AML/CFT system and its financial system; and whether the assessed country is a joint member of the FATF and one or more FSRBs.

²⁵ The assessment team should have assessors with expertise relating to the preventive measures necessary for the financial sector, VASPs and designated non-financial businesses and professions.

Selecting Mutual Evaluation Reviewers

46. Due to the nature of the peer review process, the Secretariat will work to ensure that the mutuality of the process is maintained, and members should provide qualified experts as ME reviewers. ME reviewers should be experts from FATF and FSRB delegations, FATF/FSRB Secretariats, and/or the IMF/WB staff. To avoid potential conflicts and to strengthen the peer review nature of the process by involving a broader range of peers in the assessment, the ME reviewers selected for any given quality and consistency review should be from countries other than those of the assessors and should be made known to the country and assessors in advance. Generally, three ME reviewers should be allocated to each assessment. At least one ME reviewer should be from another assessment body. The FATF Secretariat is a mutual evaluation reviewer for all non FATF-led mutual evaluations.²⁶

Selecting Follow-up Experts

47. Assessments of a country’s technical compliance re-ratings and, when in enhanced follow-up, progress against its KRA will be undertaken by other members consistent with the peer review principle of the mutual evaluation process. These follow-up experts will analyse the country submission and prepare their contribution to the summary report. To the extent possible, the original assessors or ME reviewers or ICRG lead reviewers should be sought as follow-up experts, if available. Follow-up experts other than original assessors, ME reviewers or ICRG lead reviewers should be experts from FATF and FSRB delegations with the relevant legal, financial or law enforcement background, who have successfully completed training on follow-up or ICRG processes and are nominated by their Heads of Delegation. The number of follow-up experts assigned to a report, and their expertise, will depend on the nature of the KRA being reviewed and any particular Recommendations to be considered for re-rating. The follow-up experts should be confirmed in line with the assessment body’s governance principles.

²⁶ The FATF Secretariat also performs an internal quality check of FATF MERs, in addition to the three external reviewers.

IV. PROCEDURES AND STEPS IN THE EVALUATION PROCESS

48. A summary of the key steps and general timelines for the assessment team and the country in an FATF/FSRB/IMF/WB-led mutual evaluation process is set out at Appendix 1. Those steps are described more fully below. Assessment bodies should develop their own timelines for the evaluation process following the FATF approach, using the flexibility provided in these *Universal Procedures* as necessary.

49. The assessed country and the Secretariat should begin informal engagement as far in advance of the on-site visit as possible. The country and the Secretariat will set a date for assessed country training. Ideally, assessed country training should take place before the country begins preparing its technical compliance submissions.

50. The assessed countries and assessment teams have the flexibility to extend the overall timeline by up to one or two months to accommodate translation needs, plan around Plenary meetings, events or holidays, or to adjust the date of the on-site visit to the most appropriate time. In practice, this will require an earlier start to the evaluation process as there is no scope for reducing the time allocated to the post-onsite stages of the process. The assessed country and the Secretariat should therefore agree on the broad timeline of the evaluation at least 18 months before the Plenary discussion

Preparation for the on-site visit

51. At least seven months before the on-site visit or as early as possible, the Secretariat will fix the precise dates for the evaluation on-site visit as well as the timelines for the whole process in consultation with the country and based on the timelines developed by the assessment body as noted above.

52. Countries should provide the necessary updates and information to the Secretariat no less than seven months before the on-site. These updates and information are intended to provide key information for the preparatory work before the on-site visit, including understanding the country's ML/TF/PF risks, identifying potential areas of increased focus for the on-site, and preparing the draft MER.

Ensuring Adequate Basis to Assess International Co-operation and Input on Risk

53. Approximately seven months before the on-site visit, the FATF Secretariat will invite FATF and FSRB members²⁷ to provide feedback on their experience of international co-operation²⁸ with the country being evaluated. The feedback could relate to: (i) general experience, (ii) positive examples, and (iii) negative examples, on the assessed country's level of international co-operation and should include information on any results achieved based on co-operation with the assessed country. Delegations may also provide any comments regarding AML/CFT/CPF issues they would like to see raised during the on-site visit or information that would assist the team to focus on areas of higher or lower risks.

54. In addition, the assessment team and the assessed country should identify countries that, based on the ML/TF/PF risks of the assessed country, would be able to provide valuable feedback on international co-operation or risk. During the risk and scoping exercise (see paragraphs 57-62), the

²⁷ The FATF Secretariat will invite FSRB members to provide feedback via their respective FSRB Secretariats.

²⁸ In this section, *international co-operation* refers to both informal international co-operation and formal mutual legal assistance.

assessment team should also identify the specific types of information that would be most valuable²⁹ to be provided by these countries.

55. The Secretariat will advise the assessed country which countries the assessment team has selected for specific outreach. The Secretariat will then reach out to the selected countries, inviting them to provide both general and specific feedback regarding their experience of participating in international co-operation with the assessed country or their perspective on risks. This feedback should be provided to the Secretariat before completion of the scoping note.

56. All feedback received, whether from the general call for feedback or a specific request, will be made available to the assessment team and the assessed country. The assessed country should have an opportunity to respond to or supplement any information that may be used for the purposes of the evaluation.

Risk and Scoping Exercise

57. The assessment team will, from the beginning of the mutual evaluation process, review the assessed country’s risk, context and general situation, to ensure the mutual evaluation is, from the outset, fully informed by risk. The assessment team may identify specific areas to which they would pay more attention to during the on-site visit and in the MER, as well as possible areas of reduced focus. This will usually relate to effectiveness issues but could also include technical compliance issues.

58. To facilitate this review, the assessed country should provide the information required to complete the introduction of the MER and any other information necessary to explain its identification, assessment and understanding of its risks, context and materiality, including material relevant to core issue 1.1 of Immediate Outcome 1. The country should include this information with its initial submission of technical compliance information approximately seven months before the on-site visit. At least two weeks after making its initial submission, the country and the assessment team should begin to engage to discuss their understanding of the assessed country’s risks, context and materiality. This engagement may include an oral presentation by the assessed country, accompanied by any material it considers to be relevant, to explain its understanding of its risks, context and materiality.

59. The assessment team may consider multiple sources of information to develop its preliminary understanding of the assessed country’s risks, context and materiality and a scoping note. The information provided by the country as well as the country’s explanation of its understanding of ML/TF/PF risks serve as a starting point. The assessment team will also consider information from credible and reliable sources external to the assessed jurisdiction, including the assessed country’s most recent MER and FUR and the list of contextual factors outlined in the Introduction to the *FATF Methodology*. A list of the information sources used in the risk and scoping exercise should be attached as an annex to the Scoping Note, and the assessment team should be able to explain their use when asked by the assessed country. The MER should reference relevant, credible and reliable sources used through footnotes.

60. The scoping note should set out briefly the areas for increased focus, as well as areas of reduced focus, and clearly articulate why these areas have been selected on the basis of risk, context and materiality. While the final decision lies with the assessment team, the areas for increased or reduced focus should, to the extent possible, be mutually agreed with the assessed country. In addition to determining areas for increased or reduced focus, the assessment team should use their

²⁹ Examples may include co-operation between customs agencies where a border is shared, cooperation between tax authorities where money laundering from tax crimes is a significant risk, etc.

conclusions from the scoping exercise to determine the level of weight given to risk, context and materiality when providing ratings in MERs.

61. The draft scoping note, along with relevant background information, should be sent to the ME reviewers and to the assessed country at least six months before the on-site. Having regard to the material made available to them, as well as their general knowledge of the jurisdiction, ME reviewers should provide their feedback to the assessment team regarding whether the scoping note reflects a reasonable view on the focus of the assessment. Reviewers should provide this feedback at least two weeks after receiving the scoping note. The assessment team should consider the merit of the ME reviewers' comments, and amend the scoping note as needed, in consultation with the country.

62. After the technical compliance review and reviewing the assessed country's information on effectiveness, the assessment team should update the scoping note as needed, in consultation with the assessed country. The final version should be sent to the country, at least six weeks before the on-site, along with any requests for additional information on the areas of increased focus. The country should seek to accommodate any requests arising from the additional focus.

Technical Compliance Review

Information on Technical Compliance

63. The ME technical compliance review should be a continuation of the follow-up process of the previous round. It is a desk-based review focused on assessing the country's level of compliance where changes have occurred, either in the FATF Standards or in the legal, operational or institutional framework of the assessed country since its last mutual evaluation report (MER) and/or follow up report with technical compliance re-rating (FUR with TCRR). The overarching objective is to ensure that the technical compliance Annex (TC Annex) is accurate, up to date and consistent with the country's current risk and context.

64. Prior to the country training, the assessed country should receive a TC questionnaire highlighting the criteria where there have been changes to the FATF Standards for which the country has not previously been assessed. The TC questionnaire should also include the latest TC analysis from the country's most recent MER and/or FURs with TCRR.

65. The TC questionnaire serves as a structured tool to guide the assessed country in submitting relevant information and supporting materials that reflect its current TC status, including any developments since the last MER/FURs with TCRR. In particular, the assessed country should:

- a) provide detailed information on the measures taken to meet each criterion where changes have occurred in the FATF Standards as highlighted in the TC questionnaire, or in the country's legal, operational or institutional framework;
- b) update TC information for any criteria where the assessed country considers the existing information inaccurate or outdated, confirm that these changes do not affect the previous analysis and, where needed, provide a basic overview of the country's legal and institutional framework to support the understanding;³⁰ and
- c) for criteria where the country considers the existing TC information accurate and up to date, retain the prior analysis included in the TC questionnaire, confirm that no changes have occurred in the country's legal, operational or institutional framework that would affect the previous analysis and, where needed, provide a

³⁰ It is the responsibility of the assessed country to substantiate that the updates do not affect its compliance, in line with paragraph 19 of the Procedures.

basic overview of the country’s legal and institutional framework to support the assessment team’s understanding.

66. The completed TC questionnaire, along with supporting materials, should be submitted by the assessed country approximatively seven months before the on-site visit. The assessed country may also choose to present other information in whatever manner it considers to be most expedient or effective.

Desk Based Review for Technical Compliance

67. The assessment team will base its review on information provided in the TC questionnaire, supporting materials submitted by the assessed country, and other credible or reliable sources of information. It will undertake a detailed analysis of each criterion where changes have occurred either in the FATF Standards or in the country’s legal, operational, or institutional framework and determine whether the criterion is met, mostly met, partly met or not met, providing a clear rationale for its conclusion. For other criteria, the previous analysis from the most recent MER or FURs with TCRR should normally be retained, unless the assessment team considers that the existing assessment is inaccurate or outdated³¹. In such cases, the assessment team may update or clarify the analysis to reflect the current situation³².

68. The assessment team should focus its follow-up questions on the information necessary to conduct the analysis related to information submitted under paragraph 65 (a). Where other criteria warrant further review, the assessment team may seek additional information from the assessed country to ensure the TC Annex remains accurate and up to date.

69. The assessment team’s conclusions and ratings on each Recommendation should consider all relevant criteria. Where one or more criteria have been newly analysed, the assessment team should ensure consistency and accuracy in the overall assessment of the Recommendation. If the analysis and conclusions for all criteria of a Recommendation remain unchanged, the overall rating should be maintained unless a correction is necessary to protect the FATF brand.

70. In conducting the review, assessors should only take into account relevant laws, regulations or other AML/CFT/CPF measures that are in force and effect at that time or will be in force and effect by the end of the on-site visit. Where relevant bills or other specific proposals to amend the system are made available, these may be referred to in the MER (including for the purpose of the recommendations to be made to the country) but should not be taken into account in the conclusions of the assessment or for ratings purposes.

71. The TC Annex is drafted based on the assessment team’s analysis of the assessed Recommendation and the analysis retained from the last MER or FURs with TCRR. While drafting the TC Annex, the Secretariat takes into account the quality and consistency of MERs, including interpretation of the FATF Standards and application of the *FATF Methodology and Procedures* in line with past FATF Plenary decisions, and should revise the draft TC Annex accordingly.

72. The assessment team will review the TC Annex before the first draft is sent to the assessed country. About five months before the on-site, the country should be provided with a first draft of the TC Annex (which need not contain ratings). The draft will include a description, analysis, and list of all potential technical deficiencies identified at that time. The country should have approximately three weeks to clarify and comment on this first draft TC Annex.

³¹ This provision also covers the cases where the assessment team identifies relevant strengths or weaknesses not previously noted in the country’s MER or FUR.

³² These situations should be clearly identified and justified by the assessment team, only in exceptional circumstances to maintain consistency and credibility.

73. After considering the assessed country’s clarifications and comments on the first draft, the assessment team will prepare a revised draft TC Annex. The revised TC Annex (second draft) should be sent to the country and the ME reviewers approximately three months before the on-site visit. The second draft TC Annex should contain preliminary ratings. The country and ME reviewers should have approximately three weeks to comment on this second draft TC Annex. Although the primary focus of the on-site visit is assessing effectiveness, a limited number of outstanding TC issues may be discussed during the on-site.

Information and preliminary review on Effectiveness

74. The assessment team will examine the country’s level of effectiveness in relation to all of the 11 Immediate Outcomes. Countries should provide information on effectiveness based on the 11 Immediate Outcomes identified in the *FATF Methodology* approximately four months before the on-site. They should set out fully how each of the core issues is being addressed as set out in each Immediate Outcome. It is important for countries to provide a full and accurate description (including examples of information, data and other factors) that would help to demonstrate the effectiveness of the AML/CFT/CPF regime. The assessed country should highlight areas where it believes recommended actions could improve effectiveness. The Secretariat should facilitate communications between the assessment team and assessed country to promote clarity and ensure a smooth exchange of information. In examining a country’s level of effectiveness, assessors should consider the output of AML/CFT/CPF systems (data, statistics, case studies, etc.) that are complete by the end of the on-site visit.

75. After reviewing the information on effectiveness and any clarifications provided by the assessed country, the assessment team will prepare a preliminary outline of initial findings and requests for further information. In preparing this outline, the assessment team will bear in mind the assessed country’s risk, context and general situation as identified in the risk and scoping exercise. The preliminary outline of initial findings and requests for further information should be provided to the assessed country approximately two months before the on-site visit. The assessed country should provide any comments on the findings and provide requested information not later than six weeks before the on-site.

76. To expedite the mutual evaluation process, and to facilitate preparing the programme for the on-site visit, the assessment team will identify potential recommended actions for discussion. This document should be provided to the assessed country at least one month before the on-site visit.

Programme for On-Site Visit

77. The country, through its designated co-ordinator, should work with the Secretariat and prepare a draft programme and coordinate the logistics for the on-site. The draft programme, together with any specific logistical arrangements, should be sent to the assessment team no later than two months before the visit. Please see Appendix 3 for an illustrative list of authorities and businesses that would usually be involved in the on-site.

78. The draft programme should take into account the areas where the assessment team may want to apply increased or decreased focus based on the risk and scoping exercise. However, attention to any sector or category of financial institutions, DNFBPs or VASPs identified as an area of decreased focus should be commensurate with the level and nature of associated risk and should not be completely excluded from the programme.

79. To the extent possible, meetings should be held in a fixed location to avoid the assessors travelling between venues, which can be time consuming and wasteful. However, this should not preclude some meetings taking place at the premises of the agency/organisation being met (e.g., the FIU). The programme should be generally finalised approximately three weeks before the on-site

visit, with the understanding that the assessment team may request additional meetings shortly before or during the on-site, particularly where information gathered during meetings with country authorities and the private sector indicates higher risk levels than those identified in the risk and scoping exercise. When necessary for clarification, the assessment team may also request follow-up meetings with country authorities or the private sector.

80. Both in terms of the programme and more generally, the time required for interpretation, and for translation of documents, must be taken into account. For the efficient use of time, meetings should generally be conducted in the language of the assessment. However, if translation from the country’s language into the language of the assessment is required, please see paragraph 21 under Responsibilities of the Assessed Country.

On-site visit

81. The on-site visit provides the best opportunity to clarify issues relating to the country’s AML/CFT/CPF system. Assessors need to be fully prepared to review the 11 Immediate Outcomes relating to the effectiveness of the system and clarify any outstanding technical compliance issues. Assessors should also pay more attention to areas where higher ML/TF/PF risks are identified. Assessors must remain cognisant of the different country circumstances and risks, and that countries may adopt different approaches to meet the FATF Standards and to create an effective system. Assessors thus need to be open and flexible and seek to avoid narrow comparisons with their own national requirements or practices.

82. Experience has shown that at least nine to ten days of meetings are required for countries with developed AML/CFT/CPF systems; however, the exact time needed may vary. A typical on-site visit could thus allow for the following:

- a) An initial half day preparatory meeting between the Secretariat and assessors³³.
- b) Nine to ten days of meetings with representatives of the country, including an opening and closing meeting. Time may have to be set aside for additional or follow-up meetings, if, in the course of the set schedule, the assessors identify new issues that need to be explored, or if they need further information on an issue already discussed.
- c) Two or three days where assessors work on the draft MER (supported by the Secretariat), ensure that all the major issues that arose during the evaluation are noted in the report, and discuss and agree on preliminary ratings, key findings and recommended actions. The assessment team should provide a written summary of its preliminary key findings and recommended actions to the assessed country officials at the closing meeting.

83. The average total length of the on-site visit may be in the order of 13 to 16 working days. However, actual time needed may be shorter or, in exceptional cases, longer, based on the size and complexity of the jurisdiction.

84. It is important that the assessment team be able to request and meet with all relevant agencies during the on-site. The country being evaluated and the specific agencies met should ensure that appropriate staff, including operational staff, are available for each meeting.

³³ The assessment team should also set aside time midway through the on-site to review the progress of the mutual evaluation and where relevant, the identified areas of increased focus for the on-site initially.

85. Meetings with the private sector or other non-government representatives³⁴ are an important part of the visit. Generally, the assessors should be given the opportunity to meet with such bodies or persons in private, and without a government official present, if there is concern that the presence of the officials may inhibit the openness of the discussion. The team may also request that meetings with certain government agencies are restricted to those agencies only.

Post on-site - Preparation of draft MER, KRA Roadmap and Executive Summary

86. There should be a minimum of 29 weeks between the end of the on-site visit and the discussion of the MER and KRA Roadmap in Plenary. The timely preparation of the MER, KRA Roadmap and Executive Summary³⁵ will require the assessors to work closely with the Secretariat and the country. Depending on when the Plenary discussion is scheduled, the time period may also be extended or adjusted. In exceptional cases and based on justified circumstances (and with the consent of the assessed country), a shorter period of time may be allowed.

87. The steps in finalising a draft report for discussion at Plenary, and the approximate time that is required for each part, should be set out in greater detail in the agreed timeline, following the steps below (see also Appendix 1). With the aim to facilitate communication between the assessment team and the assessed country, the Secretariat should facilitate regular conference calls between all parties, in particular after the circulation of an updated draft MER.

88. In drafting the MER, the assessors should focus on providing their conclusions and the reasons for them rather than recitation of facts. In notes to the assessed country that accompany the first and second draft MER, assessors should aim to clarify as much as possible how information submitted by the assessed country was taken into account, what information was not taken into account and why, and where additional information is still needed. The Secretariat of the relevant assessment body should oversee this process and improve the draft as necessary to ensure the assessors' analysis is clearly and concisely written, comprehensive, objective and supported by evidence. With the aim to ensure communication between the assessment team and the assessed country, the Secretariat should facilitate regular conference calls between all parties, in particular after the circulation of an updated draft MER.

1st Draft MER and Key Recommended Actions Roadmap

89. The assessment team should have approximately five weeks to coordinate and refine the first draft MER (including the key findings, potential issues of note and recommended actions for the country). The first draft MER will include the preliminary recommended actions and ratings. During this time, the assessment team should also consider which recommended actions should be considered as Key Recommended Actions (KRA) and compile the KRA in a separate list for the country (the KRA Roadmap).³⁶ These documents are then sent to the country for comments.

³⁴ For example, those listed in Appendix 3.

³⁵ The format for the Executive Summary, MER and KRA Roadmap is contained in Annex II of the Methodology. Assessors should pay special attention to the guidance on how to complete the Executive Summary, KRA Roadmap and MER in the Introduction to the Methodology, including with respect to the expected length of the MER (100 pages or less, together with a technical annex of up to 60 pages).

³⁶ Assessors should review the Methodology Introduction para.72-76 for guidance on developing recommended actions, determining which will be Key Recommended Actions and other recommended actions and preparing the KRA Roadmap. Subject to Methodology Introduction para.72, Key Recommended Actions should only relate to IOs rated ME or LE or Recommendations rated PC or NC where these relate to any IO rated ME or LE. Normally, there should be no more than two to three KRA related to each IO, including KRA for technical

90. The country should have at least four weeks to review and provide its comments on the first draft MER, including the KRA Roadmap and other recommended actions, to the assessment team. During this time, the assessment team should be prepared to respond to queries and clarifications that the country may raise and discuss the KRA Roadmap.

2nd Draft MER and KRA Roadmap

91. On receipt of the country’s comments on the first draft MER and KRA Roadmap, the assessment team will have four weeks to review the various comments and make further amendments, as well as refine the KRA Roadmap. As in the case of the first draft, assessors should aim to clarify as much as possible, in writing, how specific information was taken into account in their analysis. The second draft MER, KRA Roadmap and updated TC annex will then be sent to the country and to the ME reviewers.³⁷

Pre-Plenary Quality & Consistency Review

92. As part of the mutual evaluation process, ME reviewers will conduct a pre-Plenary quality and consistency (Q&C) review with a view to:

- a) Commenting on assessors’ preliminary review and analysis of the country’s risks, materiality and context and the draft scoping note;
- b) Reflecting a correct interpretation of the FATF Standards and application of the *FATF Methodology* (including the assessment of risks, integration of the findings on technical compliance and effectiveness, and identifying areas where the analysis and conclusions are clearly deficient);
- c) Checking whether the description and analysis supports the conclusions (including ratings);
- d) Considering whether sensible, relevant, measurable and achievable recommended actions for improvement are made and whether the most strategic recommended actions have been identified as KRA;
- e) Where applicable, highlighting potential inconsistencies with earlier decisions adopted by the FATF on technical compliance and effectiveness issues; and
- f) Checking that the substance of the report is generally coherent and comprehensible.

93. The ME reviewers should have a copy of the comments provided by the country on the first draft MER and KRA Roadmap. Reviewers need to be able to access all key supporting documents - including the assessed country’s technical compliance and effectiveness submissions and its risk assessment. The ME reviewers should have at least three weeks to examine the second draft MER and draft KRA Roadmap and provide their comments. To ensure transparency, all comments from the ME reviewers will be disclosed to the assessors and country. The ME reviewers do not have any decision-making powers or powers to change a report.

compliance for Recommendations related to that IO. In addition, there may be one KRA for each of Recommendations 3, 5, 6, 10, 11, and 20 that is rated NC or PC, where these do not pertain to any IO rated ME or LE.

³⁷ Where the language of evaluation is other than English or French, the English or French translation should be distributed to the reviewers at this time.

94. It is the responsibility of the assessment team to consider the ME reviewers’ comments and then decide whether any changes should be made to the report. In addition to any changes made, assessors should respond to all substantive comments provided by external reviewers. When the draft MER and KRA Roadmap are circulated to delegations for comment, the assessment team should provide a short response to the Plenary regarding the decisions and any substantive changes it made to the report or KRA Roadmap based on the ME reviewers’ comments.

95. The assessed country will have the opportunity to submit further comments on the second draft MER and KRA Roadmap, in parallel with the Q&C review process.

96. Where any reviewer in the pre-Plenary Q&C process considers that an FATF, FSRB, IMF or World Bank report has significant problems of quality or consistency, the ME reviewer should wherever possible raise such concerns with the Secretariat for the assessment body as soon as possible during this pre-Plenary Q&C process. The Secretariat, assessment team and assessed country should consider and work, in consultation with the ME reviewers, to appropriately address the concerns before circulation of the report to the Global Network for the pre-Plenary review. If an ME reviewer identifies fundamental concerns, a targeted review may be considered as outlined in paragraph 102(b).

97. Following the conclusion of the pre-Plenary quality and consistency review, the assessment team will have no less than four weeks to consider country and ME reviewers’ comments received on the second draft MER and KRA Roadmap and to prepare for the face-to-face meeting.

98. During this four-week period, the assessment team will review the comments received from the country and ME reviewers and should consider sharing with the country a working draft MER prior to the face-to-face meeting. In case a working draft MER is shared with the country, it should be used as the basis for the face-to-face meeting and should not lead to a new round of written comments. This working draft MER should be as close as possible to the final text, with a narrow range of unresolved issues for discussion.

99. As soon as possible, and no later than two weeks prior to the face-to-face meeting, the assessment team and the country should engage to identify issues for discussion at the face-to-face meeting. The final agenda for the face-to-face meeting should be confirmed no later than three working days in advance of the meeting.

Face-to-Face Meeting

100. A face-to-face meeting is an important way to assist the country and assessment team to resolve outstanding issues. The assessment team (including Secretariat) and the country should have a face-to-face meeting to further discuss the second draft MER, or when relevant the working draft MER, and KRA Roadmap. During this session, the assessment team and country should work to resolve any disagreements over technical compliance or effectiveness issues and identify potential key issues for Plenary discussion. Sufficient time during the face-to-face meeting should be allocated to discuss the KRA Roadmap. The face-to-face meeting should occur at least nine weeks before the Plenary (i.e., approximately 20 weeks after the on-site). Whenever possible, any relevant working group Co-chair should attend the face-to-face meeting, as this will assist the identification of key issues for Plenary discussions.

101. After the face-to-face meeting, the assessment team will consider whether any further changes should be made to the draft MER or KRA Roadmap. The assessment team, in consultation

with the assessed country³⁸, will then prepare the Executive Summary.³⁹ Before circulation to delegations, the assessment team should consider sharing a final version of the draft MER with the assessed country for a fatal flaw check of 24 hours.⁴⁰ This check should be strictly limited to factual inaccuracies and should not extend to the assessors’ analysis and findings.

Targeted Review (for exceptional cases only)

102. In exceptional cases where:

- a) changes made after the face-to-face meeting to the analysis or conclusions in the MER are so extensive or substantively different from the previous draft as to have a potential significant impact on the quality and consistency of the MER; or
- b) in the pre-Plenary Q&C process, the ME reviewers identified fundamental concerns with the MER quality and consistency or misapplication of the FATF Standards or *FATF Methodology*,

the Secretariat of the relevant assessment body should consider circulating a revised second draft to ME reviewers for a targeted review. Ideally, a targeted review should involve no more than five substantive issues and the Secretariat should ensure that at least two weeks is allocated for the ME reviewers and the assessment team to respond to any reviewers’ comments prior to circulating the pre-plenary draft MER to the Global Network. The comments provided in the targeted review will be circulated with the draft MER, or as soon as possible thereafter.

103. In exceptional cases where:

- a) a targeted review is triggered but there is not enough time to conduct such a review, or
- b) there remain fundamental concerns with the quality and consistency of the MER or misapplication of the FATF Standards or *FATF Methodology*⁴¹ that cannot be addressed in time to circulate the pre-plenary draft MER at least six weeks before Plenary,

acting on the recommendation of the ME Reviewers, the FATF/FSRB Secretariat, relevant working group co-chairs or the President/Chair, in line with the FATF/FSRB internal governance processes, should consider postponing the circulation of the pre-plenary draft MER to the membership and the Global Network until the review is complete or the concerns are addressed. Any such postponement should not exceed one Plenary cycle.

Identifying Issues for Plenary Discussion

104. The revised MER, KRA Roadmap and Executive Summary (collectively, the pre-Plenary drafts), will then be circulated to the Global Network at least six weeks before Plenary.⁴² The ME

³⁸ The consultation with the assessed country, in this context, should be limited to factual accuracy and consistency with the findings and conclusions of the draft MER.

³⁹ The Executive Summary will describe the key risks, the strengths and weaknesses of the system, and the KRA for the country to improve its AML/CFT/CFP regime.

⁴⁰ The 24-hour fatal flaw check applies uniformly to all assessed countries from the moment that the draft is formally transmitted.

⁴¹ Any such concerns should be consistent with the substantive threshold required to trigger the Post Plenary Q&C process (see Part VIII) and the Q&C aspects of draft MERs in line with FATF Plenary decisions.

⁴² Where translation is needed to facilitate the Plenary discussion of the report, both the original draft and its translation will be distributed at this time.

reviewers' and assessed country's comments on this draft will be circulated then as well. Delegations will have two weeks to provide any written comments on the pre-Plenary drafts, and in particular, to identify any substantive key issues that they wish to discuss in any relevant working group and Plenary. The comments should focus on the substantive key issues, or on other high-level or horizontal aspects of the assessment, though other observations may also be made. The comments received will be made available to all delegations.

105. The relevant working group Co-chairs/Secretariat will engage the country and the assessment team and prepare a list of (usually three to five and not more than seven) priority and substantive key issues that will be discussed in the relevant working group.⁴³ This engagement will be based on the MER, KRA Roadmap, Executive Summary and delegation comments received. The key issues selected should reflect equally the issues that the assessed country and those that delegations are most keen to discuss. The list of key issues for discussion in the relevant working group would include the key issues arising from the report (whether raised by the country, the assessment team or delegations), as well as any questions of interpretation or inconsistency with other MERs adopted by the FATF.⁴⁴ To the extent possible, the Secretariat staff directly involved in preparing the MER should not be included in the process of identifying and selecting priority and substantive key issues.

106. The finalised list of priority and substantive key issues will be distributed to delegations at least two weeks before the Plenary. After discussions in the relevant working group, a revised key issue document and any proposed amendments to the MER, KRA Roadmap and Executive Summary are submitted to the Plenary for discussion.⁴⁵ To the extent possible, the revised KID should be circulated at least 24 hours before the Plenary discussion to give members sufficient time to prepare for discussion. Issues that are resolved in the relevant working group will be presented to Plenary as information items. Proposed amendments to the Executive Summary, KRA Roadmap or MER can be made after the Plenary.

The Plenary Discussion

107. The discussion of each MER, KRA Roadmap and Executive Summary in Plenary will be based on the list of key issues and focus on high-level and substantive issues, primarily concerning effectiveness and the KRA Roadmap. Where appropriate, important technical issues would also be discussed. Adequate time should always be set aside to discuss the KRA Roadmap. The discussion is likely, on average, to take three to four hours of Plenary time. The procedure for the discussion will be as follows:

- a) Assessment team briefly presents in high-level terms the key findings from the report. The team will have the opportunity to intervene or comment on any issue concerning the MER, KRA Roadmap or Executive Summary.
- b) Assessed country makes a short opening statement.

⁴³ The Secretariat will notify the assessed country and the assessment team of the key issues selected for discussion and ask them to briefly explain their respective positions on each key issue.

⁴⁴ The representative of the FATF Secretariat at the FSRB Plenary will be expected to assist and advise on all issues relating to the interpretation of the FATF Standards, and the quality and consistency aspects of the draft MERs in line with past FATF Plenary decisions. The Plenary discussion will provide members and observers another opportunity to raise and discuss concerns about the quality and consistency of an MER.

⁴⁵ The relevant working group Co-chairs will consult with the assessed country and assessment team when changes are proposed to the text of the MER, KRA Roadmap or Executive Summary in the revised key issue document for Plenary discussion.

- c) The Plenary discusses:
 - i. the list of key issues identified by the relevant working group; and
 - ii. the KRA Roadmap.
- d) Time permitting, other issues could be raised from the floor, and discussed by the Plenary.

108. In highly exceptional circumstances, fundamental concerns may be raised regarding the quality of the draft MER or KRA Roadmap or misapplication of the FATF Standards or *FATF Methodology* which cannot be addressed during working group/Plenary discussions.⁴⁶ The assessment body is encouraged to take all possible steps, including, when this concerns a report of an FSRB, IMF or WB, through engagement with the FATF Secretariat,⁴⁷ to resolve any such concerns or issues arising from misapplication of the FATF Standards or *FATF Methodology*. If, despite best efforts, the concerns or issues cannot be resolved, the assessment body should consider, in consultation with the relevant working group co-chairs and President/Chair, postponing the discussion, or further discussion, of the draft MER and KRA Roadmap until the concerns or issues can be addressed. Any such postponement should be highly exceptional, decided in line with the FATF/FSRB internal governance processes, and should not exceed a single Plenary cycle.

Adoption of the MER, KRA Roadmap and Executive Summary

109. At the end of the Plenary discussion, the MER, KRA Roadmap and the Executive Summary will be submitted to Plenary for adoption. Plenary may direct that changes be made to the proposed MER, KRA Roadmap or Executive Summary if Plenary agreed to do so. Following the adoption of the report, the Secretariat will indicate to the Plenary in which level of follow-up the assessed country should be placed based on the final ratings and the date of the plenary at which the assessed country will be expected to report on its progress in addressing the KRA (the relevant Plenary) (see Part VII – Follow-up and ICRG Processes). Based on Plenary’s decision regarding follow-up, the KRA Roadmap will be updated to reflect the expected reporting date.

110. If Plenary does not agree with proposed text, or does not adopt the MER, KRA Roadmap and the Executive Summary, then the assessors, the assessed country and the Secretariat should prepare amendments to meet the issues raised by the Plenary. Where substantive changes are required, either because additional information is required to be added, or the report has to be substantially amended, then the Plenary could decide to:

- a) adopt the report subject to it being amended, and the amended report being approved through the post-Plenary Q&C process; or
- b) where the required changes are significant, defer adoption of the report, and agree to have a further discussion of an amended report at the following Plenary.

111. The final report is a report of the FATF/FSRB, and not simply a report by the assessors. As such, the Plenary will retain the final decision on the wording of any report, consistent with the

⁴⁶ Any such concerns or issues should be consistent with the substantive threshold required to trigger the Post Plenary Q&C process. See Part VIII. Deferring Plenary discussion or adoption of an MER should not be based on any disagreement between the assessment team and assessed country regarding the assessment team’s conclusions or provide an opportunity for the assessed country to unilaterally delay the adoption and publication of an MER.

⁴⁷ In the case of an FATF report, this engagement should include the FATF Secretariat and ECG Co-chairs.

requirements of the FATF Standards and *FATF Methodology*. The Plenary will give careful consideration to the views of the assessors and the country when deciding on the wording, as well as take into account the need to ensure consistency between reports.

112. The assessment team is responsible for ensuring that all the changes to the report agreed by the Plenary have been made. Care will be taken to ensure that no confidential information is included in any published report. The Secretariat will check the adopted report, KRA Roadmap and Executive Summary for typographical or similar non-substantive errors and will circulate a revised version of the report to the country ideally within one week of the Plenary. Within two weeks of receiving it from the Secretariat, the country must confirm that the report is accurate and advise of any typographical or similar errors. The report, KRA Roadmap and Executive Summary will then be subject to post-Plenary Q&C review (see Part VIII).

113. Where an FSRB has a Council of Ministers, or equivalent body, the report should be adopted at the Plenary and there should be no delay in publication due to the need to have the approval or recognition of Ministers regarding the reports.

KRA Roadmaps

Notice to Minister

114. When an MER is published (following post-Plenary Q&C review), the President/Chair will provide a copy of the KRA Roadmap to the appropriate Minister of the assessed country and advise the Minister regarding the FATF/FSRB's expectations for follow-up by the assessed country. For countries in regular and enhanced follow-up processes, the FATF Executive Secretary/equivalent FSRB counterpart should provide a copy of this communication, or a similarly informative communication, to the assessed country's Head of Delegation annually while the assessed country remains in the follow-up process.

ICRG Handover

115. When an assessed country meets ICRG entry criteria based on its MER results and a preliminary determination by the FATF/FSRB Secretariat that the country also meets the ICRG prioritization criteria, the assessment team and assessed country, supported by the assessment body that led the ME, should meet briefly with representatives of the ICRG Joint Group that has responsibility for the country's geographical region. Whenever possible, this meeting should take place on the margins of the plenary at which the MER is adopted and virtual participation of ICRG JG Co-chairs, interested JG members and FATF Secretariat supporting the JG, should be facilitated. If such a meeting is not possible, a virtual handover meeting should take place as soon as possible, and not later than two months after adoption of the MER. This meeting is for information only to ensure a shared understanding of the KRA Roadmap.

V. JOINT MUTUAL EVALUATIONS WITH FSRBS

116. In line with the FATF Procedures, FATF members that are also members of FSRB(s) will undergo a joint evaluation by these bodies. Generally, the FATF will be the principal organiser, and will provide three assessors, while one to two assessors could be provided by the participating FSRBs. The FATF and the FSRB(s) Secretariats will participate. Reviewers should be provided by FATF, the FSRB(s), and another assessment body. To ensure adequate attention is given to consistency, a joint evaluation may use additional ME reviewers beyond the three set out in paragraph 46. The first discussion of the MER should take place in the FATF, and given the additional measures adopted for joint evaluations, the presumption is that the FATF’s view would be conclusive.

117. The processes (including following the *FATF Procedures* for preparing the draft MER, KRA Roadmap and Executive Summary and follow-up monitoring) for joint evaluations would be the same as for other FATF evaluations. The FSRB(s) and its/their members have opportunities to participate directly through being part of the assessment team and providing comments and input on the draft MER, KRA Roadmap, Executive Summary and follow-up reports like other delegations. FSRBs should allow reciprocal participation in mutual evaluation discussions for FATF members. Further measures applicable to joint evaluations as outlined in the *FATF Procedures*, apply.

VI. IMF OR WORLD BANK LED ASSESSMENTS

118. For the purposes of FSRB mutual evaluations, each FSRB Plenary, with the agreement of the assessed country, has discretion to decide that an FSRB assessment could be conducted by the IMF or World Bank. Any such assessments should be agreed and fixed on the same basis as other evaluations in the schedule (see paragraphs 9 – 12). Each FSRB should be involved at an early stage in the process of determining which of their countries will be assessed by the IMF or World Bank, and each FSRB Plenary will decide on any such requests.

119. Where the IMF or World Bank conduct an AML/CFT/CPF assessment of an FSRB member, they should use procedures and a timetable similar to those of the FSRB, including any procedures that the FSRB has in addition to what is required by the Universal Procedures. The IMF and World Bank should maintain regular dialogue with the relevant FSRB Secretariat throughout the assessment process. The relevant FSRB Plenary will in all cases have to approve an assessment its member led by the IMF or World Bank for it to be accepted as a mutual evaluation.

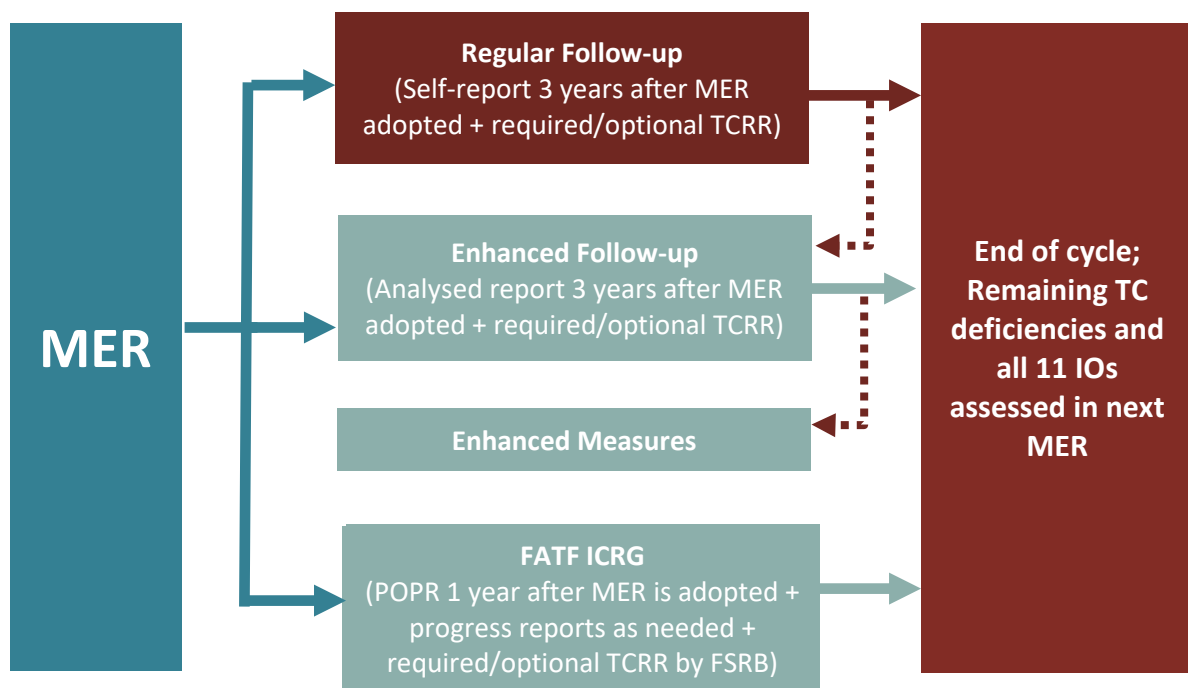
VII. FOLLOW-UP AND ICRG PROCESSES

Overview

120. The FATF and FSRBs should have transparent, clear and rules-based follow-up procedures, to which all members commit and which they apply rigorously and consistently. In particular, the procedures should enable FATF and the FSRBs to track progress made by countries in addressing their AML/CFT/CPF risks and deficiencies, to focus on countries which do not make sufficient progress in addressing their risks and deficiencies, and to exert pressure on such countries to improve their performance.

121. Following the discussion and adoption of an MER, the country could be placed in either regular follow-up, or enhanced follow-up, or referred to the FATF ICRG. Regular follow-up is the default monitoring mechanism for all countries. Members are placed in enhanced follow-up where the AML/CFT/CPF system needs major improvements (for technical compliance or effectiveness) and involves a more intensive process of follow-up. The FATF ICRG is a compliance enhancing mechanism for countries across the Global Network where the system needs fundamental improvements and involves more direct monitoring by the FATF. The following figure provides a basic overview of the follow-up and ICRG processes.

Figure 1. Follow-up and ICRG Processes



General expectations

122. Ideally, in the three-year period since the MER was adopted,⁴⁸ countries should have:

- a) fully or largely addressed all KRA in their KRA Roadmap;
- b) improved their technical compliance with all Recommendation rated NC or PC to the extent that re-rating to LC or C is warranted; and
- c) made necessary changes to comply with any FATF Standards revised since the date the country’s technical compliance submission was due.

123. All assessed FSRB Countries that are not subject to active ICRG monitoring (including FSRB countries in the “FATF ICRG Pool”) should report back to the FSRB of which they are a member approximately 3 years after the adoption of the country’s MER. The approximate date of the Plenary at which the follow-up report will be presented (the relevant Plenary) will be included as part of the KRA Roadmap.⁴⁹ This follow-up report is intended to be a targeted but more comprehensive report on the extent to which the country has addressed the KRA in its KRA Roadmap and any actions taken that might justify technical compliance re-rating (TCRR). Countries that qualify for ICRG review and meet the prioritisation threshold will report to the FATF ICRG as outlined in the *FATF Procedures*.

124. All countries should seek re-ratings for technical compliance with Recommendations rated as NC or PC⁵⁰ as part of the follow-up process.⁵¹ Requests for technical compliance re-ratings will not be considered where the expert(s) determines that the legal, institutional, or operational framework has not changed since the country’s MER (or previous FUR, if applicable) and there have been no changes to the FATF Standards.

125. If any of the FATF Standards have been revised since the date the country’s ME technical compliance submission was due, the country will be assessed for compliance with all revised Standards at the time its follow-up report is considered as outlined in paragraph 7. This includes cases where the revised Recommendation was previously rated LC or C.

126. Any recommended actions which are not the subject of a KRA or technical compliance issues that remain after the follow-up report or exit from the ICRG process will be assessed as part of the country’s next mutual evaluation, unless Plenary directs the country to report sooner.

Reporting Requirements

127. For both regular and enhanced follow-up reports, the country will provide an update to the relevant Secretariat identifying changes made to the legal, regulatory or operational AML/CFT/CPF framework since its MER was adopted and setting out the actions it has taken or is taking to address the KRA Roadmap.⁵² Information relevant to KRA may include information identified in the lists in the *FATF Methodology* on the Examples of Information that could support the conclusions on core

⁴⁸ In line with the *FATF Procedures*, deadlines to address specific KRA may be shorter than 3 years for countries in the ICRG process, on the basis of particular risks identified in the assessment process.

⁴⁹ FSRB Plenaries may retain the discretion to vary the specific reporting date.

⁵⁰ Requests for technical compliance re-rating (TCRR) may include Recommendations not included in the KRA Roadmap that are rated PC or NC where the legal, regulatory or operational AML/CFT/CPF framework has changed.

⁵¹ Countries under ICRG review should make their TCRR requests to their respective assessment body in line with para.121 and that assessment body’s procedures.

⁵² Representative timelines for preparing follow-up reports are outlined in Appendix 2.

issues for each Immediate Outcome and should demonstrate sufficient progress against the relevant KRA so that the KRA is addressed or largely addressed.

128. Some KRA may relate to technical compliance deficiencies, and the country will also submit material on its progress to improve compliance with any Recommendation rated NC or PC where it is requesting re-rating⁵³ and with any revised FATF Standards as outlined in paragraph 7. Technical compliance updates should be provided in a similar format to the Mutual Evaluation technical compliance questionnaire (see Appendix 3).

129. For any follow-up or ICRG report, only relevant laws, regulations or other AML/CFT/CPF measures that are in force and effect by the deadline to submit information for a follow-up or ICRG Joint Group⁵⁴ report, will be taken into account for determining the extent to which a KRA is addressed, or a technical compliance re-rating is justified.⁵⁵

130. To ensure accurate and comprehensive analysis, the follow-up experts and ICRG JG members, including lead reviewers, should consider all criteria of the Recommendations under review and examine the relevant legal, regulatory or operational framework in its entirety, even when some elements of the framework remain unchanged from the country’s MER. The follow-up experts and ICRG JG members may highlight relevant strengths or weaknesses not previously noted in the country’s MER. If the follow-up experts and ICRG JG members reach a different conclusion to previous MER (in cases where the Standards or the framework have not changed) then they should explain the reasons for their conclusion.

Diminished Compliance

131. If, at any time, delegations or the Secretariat become aware that a country has significantly diminished its technical compliance to a level that the Plenary considers as equivalent to NC/PC on any one or more of R.3, 5, 6, 10, 11 and 20 the Plenary may require a TCRR report on the Recommendation. If it comes to the Plenary’s attention that a country has significantly lowered its compliance with any other FATF Standards, the Plenary may request the country to address any new deficiencies as part of the follow-up process.

132. If, at any time, delegations or the Secretariat become aware that a country has significantly diminished its level of effectiveness for any one or more Immediate Outcome since its MER, Plenary may require the country to provide an overview report of the relevant Immediate Outcome to determine whether a more comprehensive analysis of the Immediate Outcome by a follow-up expert is required.

133. In cases where Plenary considers whether a country’s level of technical compliance or effectiveness is significantly diminished,⁵⁶ the Secretariat will contact the assessed country for

⁵³ For countries under active ICRG review, requests for TCRR should be made to the relevant assessment body in line with that body’s procedures once they have exited ICRG, or three years after adoption of their MER, whichever comes first.

⁵⁴ See the *FATF Procedures* for deadlines related to ICRG Joint Group reports.

⁵⁵ This rule may only be relaxed in the exceptional case where the legislation is not yet in force at the deadline to submit information for follow up, but the text will not change and will be in force by the time the report is adopted. In other words, the legislation has been enacted, but is awaiting the expiry of an implementation or transitional period before it is enforceable. In all other cases, the procedural deadlines should be strictly followed to ensure that experts have sufficient time to do their analysis.

⁵⁶ Illustrative examples could include judicial decisions that diminish the powers or responsibilities of law enforcement authorities, the FIU or other competent authorities or that render elements of the AML/CFT/CPF legal framework unenforceable; the repeal or replacement of important elements of the AML/CFT/CPF legal framework.

comment and prepare a decision paper for consideration by Plenary. The assessed country will have an opportunity to explain its position to Plenary orally or in writing.

Process for unintended consequences

134. The process for dealing with reports in relation to how a country is implementing obligations regarding NPOs in a way that is having unintended consequences (UIC) is set out in the FATF Procedures. This process applies to both FATF and FSRB members, unless the FSRB implement procedures equivalent to those of FATF as set out in paragraphs 140, 142, 143 and 144.⁵⁷ If the FSRB decides to implement its own procedures, it should notify the FATF Secretariat and provide it with the most recent version of those procedures. The FATF will review those procedures to determine whether they are equivalent as the FATF's and will advise the Plenary accordingly. If the FATF agrees with the proposed procedures, the FSRB will lead on UIC reports related to its members. When leading on UIC reports, the FSRB must update the FATF ECG and Plenary on the outcomes of any UIC reports received and considered through its process at the first available FATF Plenary.⁵⁸ If the FATF agrees with the implementation of the procedures in place within the FSRB and with the update presented to the FATF Plenary, the FSRB will continue to handle the UIC reports according to its own procedures, making available its updates regarding the UIC reports to the FATF Plenary (through the FATF Secretariat). If the FATF identifies serious concerns⁵⁹ with the update as presented, the FATF may refer consideration of the UIC reports into the FATF UIC process and apply the next steps set out in paragraph 142 of the FATF Procedures or refer the UIC reports back to the FSRB to address the identified concerns.

KRA Rating Scale

135. To ensure clear and comparable decisions, a country in regular follow-up, follow-up experts, and ICRG JG members should reach a conclusion about the extent to which the country has (or has not) addressed each KRA. For each KRA, there are four possible ratings based on the extent to which the KRA is addressed: *Fully addressed*, *Largely addressed*, *Partly addressed*, and *Not addressed*. These ratings should be decided on the basis of the following:

⁵⁷ The FSRB procedures must include the key features of the UIC process in relation to the trigger, the substantive threshold, prima facie review, the decision-making process and next steps. The procedures do not need to incorporate features that are specific to the FATF-led process (e.g., requirements to consult FSRB Secretariats). The FSRB procedures should include consultation with the FATF Secretariat as part of the collection of information in the prima facie review and referral of the UIC reports to the FATF UIC process as one of the next steps available.

⁵⁸ The FSRB Plenary decision must occur at least four weeks before a FATF Plenary meeting to be considered at that FATF Plenary meeting. This includes UIC reports that are received and are not taken forward by the FSRB at any stage of the UIC process.

⁵⁹ A serious concern could include where the FSRB did not follow their procedures for UIC reports and/or when FATF members consider that the outcome of the process does not adequately resolve the identified UIC issue or there are issues of quality and consistency such that it has the potential to affect the credibility of the FATF brand.

KRA Ratings		
Fully addressed	FA	The country has fully addressed the KRA.
Largely addressed	LA	The country has addressed the KRA to a large extent, but minor improvements are needed.
Partly addressed	PA	The country has addressed the KRA to some extent, but moderate improvements are needed.
Not addressed	NA	The country has not taken any action or steps or has only taken negligible steps to address the KRA; major improvements are needed.

136. In cases where a country is under active ICRG review and a KRA relates to technical compliance,⁶⁰ progress against that KRA should be rated using the KRA rating scale until the country requests TCRR from its respective assessment body.

Follow-up Monitoring Mechanisms

Regular Follow-up

137. Regular follow-up provides a light-touch process for monitoring those countries whose MER reflect substantial to high levels of effectiveness and technical compliance. Countries in regular follow-up will present their follow-up report as a self-assessment, including application of the KRA rating scale outlined above. Review of progress on KRA relating to effectiveness will not be analysed but will be circulated to delegations for information.

138. Compliance with FATF Standards that have changed since the date the country's ME TC submission was due and any Recommendation where the country requests TC re-rating (TCRR) will be analysed for re-rating by follow-up experts. Where a country in regular follow-up seeks TCRR, it should indicate which Recommendations should be considered for re-rating at least seven months in advance of the relevant Plenary meeting.⁶¹ The TC update by the country should be submitted to the Secretariat one month later (at least six months in advance) of the relevant Plenary meeting.

139. The KRA Roadmap self-assessment report outlining progress against KRA that do not involve TCRR should be submitted at least two months in advance of the relevant Plenary meeting. The Secretariat will prepare a cover note briefly summarising which KRA the country reports as being fully or largely addressed and which KRA the country reports as being partly or not addressed and making a recommendation regarding the next step in the follow-up process, if any.

140. The cover note and any TCRR report will be provided to the country for its comments before it is sent to delegations. The cover note and the country's self-assessment follow-up report will be considered by Plenary as information items, unless all KRA are not fully or largely addressed. If a country has not fully or largely addressed all KRA, the follow-up report will be discussed in the relevant working group and Plenary as outlined in paragraphs 158-159. Any TCRR report will be considered as outlined below in the section entitled *Analysis of KRA Progress and TCRR*.

141. After considering a regular follow-up report in which the country reports that all KRA have not been fully or largely addressed, the Plenary may direct that the country submit an updated report

⁶⁰ See paragraph 89 and related footnote regarding KRA on technical compliance.

⁶¹ For the purposes of this chapter, the Plenary meeting at which a country's report is scheduled to be considered is referred to as the “relevant Plenary meeting”.

for analysis as outlined for enhanced follow-up. Using a risk-based approach, Plenary may also decide to apply enhanced measures if strategic shortcomings remain.

Enhanced Follow-up

142. After the discussion of the MER, the FATF or FSRB Plenary will place the country in enhanced follow-up if any one of the following applies:

- a) it has 5 or more PC ratings for technical compliance, or
- b) it has 1 or more NC ratings for technical compliance, or
- c) it is rated PC on any one or more of R.3, 5, 6, 10, 11 and 20, or
- d) it has a moderate level of effectiveness for 6 or more of the 11 effectiveness outcomes, or
- e) it has a low level of effectiveness for 1 or more of the 11 effectiveness outcomes.

143. As noted above, countries that qualify for ICRG review but do not meet the prioritization threshold should follow the enhanced follow-up process of the assessment body of which they are a member.

144. For countries in enhanced follow-up, progress against all KRA will be analysed by follow-up experts based on the information submitted by the country, consistent with the peer review principle of the ME process. Compliance with FATF Standards that have changed since the date the country's TC submission was due and any Recommendation where re-rating is requested will be analysed for re-rating as part of this process.

145. Where a country in enhanced follow-up seeks technical compliance re-ratings, it should indicate at least nine months in advance of the relevant Plenary meeting which Recommendations should be considered for re-rating. The update by the country on steps taken to address its KRA, including both effectiveness and technical compliance, should be submitted to the Secretariat one month later (at least eight months in advance of the relevant Plenary meeting). The country's submission will be analysed for progress against the KRA and for any technical compliance re-ratings by a group of follow-up experts, consistent with the peer review principle of the ME process.

146. The follow-up experts will prepare a follow-up report comprising an analysis of the measures taken to address the KRA and improve technical compliance and conclusions regarding the extent to which those measures address the KRA and whether TCRR is warranted. The analysis and conclusions will be provided to the country for its comments before it is sent to delegations.

147. After the discussion of an enhanced follow-up report in which all KRA have not been fully or largely addressed, the Plenary should apply enhanced measures, as outlined in paragraph 162.

ICRG

148. After the discussion of the MER, a country qualifies for referral to ICRG for observation if it meets any of the following criteria:

- a) it has 15 or more NC/PC ratings for technical compliance; or
- b) it is rated NC/PC on 3 or more of R.3, 5, 6, 10, 11 and 20; or
- c) it has a low or moderate level of effectiveness for 9 or more of the 11 Immediate Outcomes, with a minimum of 2 low level ratings; or
- d) it has a low level of effectiveness for 6 or more of the 11 Immediate Outcomes.

149. Any FATF or FSRB delegation may nominate a country for active ICRG review as outlined in the *FATF Procedures*.

150. Procedures for all stages of the FATF ICRG process are published in the *FATF Procedures*.

151. To avoid duplication of efforts and potential inconsistency, the FATF ICRG has exclusive jurisdiction over any issues in a country’s KRA Roadmap,⁶² including any technical compliance (TC) issues listed in the KRA Roadmap, for any country under active ICRG review. Once a country exits ICRG (whether at the end of a Post-Observation Period Report or by completion of their KRA Roadmap), that country should request TCRR for any TC issues listed in the KRA Roadmap from their assessment body.

152. In the third year after adoption of its MER, if a country remains in active ICRG review that country may request TCRR from their assessment body for any Recommendation not included in the KRA Roadmap rated NC/PC where the country has made legal, regulatory or operational framework changes since the MER and Recommendations where there has been a change in the FATF Standards for which the country has not previously been assessed. To request TCRR for any Recommendation rated NC/PC that is included in the country’s KRA Roadmap:

- a) the FATF ICRG must have determined that the KRA regarding that technical deficiency has been fully or largely addressed; and
- b) in preparing the technical compliance analysis for TCRR the expert reviewers should, to the extent possible, draw on the work already done by the ICRG as set out in the ICRG progress reports and adopted by the FATF Plenary.⁶³

Role of FSRB Secretariats in the ICRG Process

153. As outlined in paragraph 32, when an FSRB Secretariat participates with a FATF ICRG Joint Group (ICRG JG), it should impartially assist ICRG JG members in achieving quality reports and consistency in the application of the FATF Standards, *FATF Methodology* and *Procedures*, and should impartially support their members in ICRG.⁶⁴ The impartial support provided by the FSRB Secretariat to their members may include the following:

- a) facilitate communication between the assessment team, assessed country and virtual participation of Co-chairs, interested members and FATF Secretariat supporting the relevant ICRG JG during the ICRG handover meeting;⁶⁵
- b) in close coordination with the FATF Secretariat, assist countries under review with ICRG country training;
- c) when possible, help identify and source technical assistance from donors and providers to assist countries under review to address or largely address their KRA Roadmaps;

⁶² References to KRA Roadmap include references to any revised KRA Roadmap.

⁶³ The ICRG process assesses a country’s progress against KRA, which is a different process from assessing a country’s legal, regulatory, or operational framework directly against the criteria set out in the *FATF Methodology*. If the follow-up experts reach a different conclusion to the ICRG report (in cases where the Standards or the framework have not changed) then they should explain the reasons for their conclusion.

⁶⁴ The FATF Secretariat plays the same role in relation to FATF members (see the *FATF Procedures*).

⁶⁵ See paragraph 113.

- d) help inform ICRG JG discussion by providing contextual information on the region, risks and materiality of countries under review and such other relevant and objective information as the ICRG JG may find useful;
- e) Guide countries under review on understanding the type of information and statistics that could be provided to demonstrate progress against its KRA Roadmap.⁶⁶

154. For countries in the FATF ICRG Pool, the FSRB Secretariat:

- a) should conduct enhanced follow-up in line with the assessment body's procedures and highlight the importance of addressing the KRA Roadmap; and
- b) may:
 - (i) explain the consequences of the countries MER results, including the possibility that the country could be referred for active ICRG review should they come to meet the prioritisation threshold or the FATF Plenary agrees that active review is necessary based upon risk and context;
 - (ii) facilitate communication with the FATF Secretariat to answer any questions that the country under review has on the FATF ICRG process.

Analysis of KRA Progress and Technical Compliance Re-rating

155. As outlined in the relevant sections above, progress against KRA by countries in enhanced follow-up must be subject to expert analysis and approved by the Plenary. Likewise, re-ratings for technical compliance may only be made with Plenary approval, in line with the assessment body's governance principles. Generally, Plenary's approval for these reports will be sought by written process. In cases where follow-up experts conclude that a country has not fully or largely addressed all KRA, the follow-up reports will be discussed in the relevant working group and Plenary as outlined in paragraphs 158-159. Reports on TCRR requests will likewise be discussed in the relevant working group and plenary if they are not adopted by written process.

Reporting of analysis and approval by written process

156. At least ten weeks before the relevant working group/Plenary meeting, the follow-up experts should report their analysis of progress against KRA and/or technical compliance to all members, associate members and observers, who will have two weeks to comment on the report. If no comments are received (including from the assessed country), the report will be circulated for Plenary approval by written process and then proceed to publication.

157. If comments are received, a revised report will be circulated at least seven weeks before the relevant working group/Plenary meeting. Delegations will have one week to comment on the revised text. Unless two or more delegations (not including the assessed country) raise concerns regarding the follow-up experts' analysis of a particular KRA or Recommendation in the revised report, the report will be circulated for approval by written process and then proceed to publication.

⁶⁶ The onus is on the country under ICRG review to demonstrate progress against its KRA Roadmap. The Secretariat should not be responsible for drafting the country's submission. Nor should the Secretariat represent or advocate on behalf of the country during ICRG JG deliberations.

Working group consideration of enhanced follow-up or TCRR reports

158. If two or more delegations (not including the assessed country) raise concerns regarding the follow-up experts’ analysis of a particular KRA or Recommendation in the revised report, that KRA or Recommendation and the issues raised will be discussed at the working group level before Plenary. In these circumstances, the secretariat should compile a short list of the priority issues for discussion, and should circulate this list to all members, observers and associate members at least two weeks prior to the relevant working group discussion. The discussion should be limited in time and scope. Although follow-up and TCRR reports will be first discussed at the working group level, Plenary remains the only decision-making body. If the relevant working group agrees on the issues for discussion, the report will be circulated for approval by written process and then proceed to publication.

Plenary consideration of enhanced follow-up or TCRR reports

159. Where the relevant working group does not reach agreement on the issues for discussion, any unresolved issues will be considered by Plenary as a discussion item, and a revised list of issues for Plenary discussion will be distributed. Plenary discussions of an enhanced follow-up or TCRR report should take, on average, no more than one hour of Plenary time. In relation to a TCRR report, Plenary will not discuss an individual criterion rating unless it will impact an overall Recommendation rating. Plenary agreement is required to change a report.

Consideration of follow-up reports with substantive issues or where all KRA are not fully or largely addressed

160. The relevant working group and Plenary will discuss follow-up reports in cases where follow-up experts conclude that a country has not fully or largely addressed all KRA.

161. Plenary may also opt to discuss follow-up reports that involve strategic or substantive issues. If the issue involves highly technical matters, Plenary may request that the relevant working group consider the issue first and make a recommendation to Plenary. Examples of substantive issues include, but are not limited to:

- a) Significant changes in a country leading to a decline in technical compliance or effectiveness.
- b) Insufficient progress made by a country against its KRA Roadmap.
- c) Recommendations to analyse a self-report or apply enhanced measures.

Enhanced Measures

162. If a country does not fully or largely address all KRA outlined in its KRA Roadmap, the Plenary will apply enhanced measures, which may include the following, on an escalating basis:

- a) As soon as possible, but not later than six months after the Plenary adopts the follow-up report, a high-level mission to the member jurisdiction will be arranged to ascertain the level of political commitment to effective implementation of the FATF Standards. This mission would meet with Ministers and senior officials and will result in a report at the following Plenary to advise whether there is sufficient political commitment. The FATF/FSRB will also require the country to report on progress against any remaining KRA at the Plenary following consideration of the report.

- b) If the high-level mission concludes there is insufficient political commitment, or if a country has still not addressed or largely addressed all KRA when it reports to Plenary, the FATF/FSRB will issue a formal FATF/FSRB statement to the effect that the member jurisdiction is insufficiently in compliance with the FATF Standards. The FATF may consider, in the context of application of Recommendation 19 by its members and based on risk and proportionality, recommending appropriate action.
- c) In cases referred to in sub-paragraph (b), the Plenary may also call on the President/Chair to raise the issue of whether the country's FATF/FSRB membership status should be suspended or withdrawn as outlined in the FSRB's internal governance processes.

163. To end the enhanced measures process at any time, the country must demonstrate that it has addressed or largely addressed all of its KRA. To do so, the country should inform the Secretariat and submit a progress report for analysis by one or more follow-up experts. Plenary will consider the expert's analysis as a matter of urgency and decide to terminate or continue the enhanced measures process.

VIII. POST-PLenary QUALITY AND CONSISTENCY (Q&C) REVIEW

Application

164. Highly exceptional situations may arise where significant concerns about the quality and consistency (Q&C) of a report remain after its adoption. The post-Plenary Q&C process seeks to prevent the publication of reports with significant Q&C problems and ensure that poor quality assessments do not damage the FATF brand.

165. The post-Plenary Q&C review process applies to all assessment bodies and—

- a) all MERs (including the KRA Roadmaps and Executive Summaries),
- b) detailed assessment reports (DARs)⁶⁷ (including the KRA Roadmaps and Executive Summaries); and
- c) Enhanced follow-up reports or any technical compliance re-rating reports with issues discussed in relevant working group or Plenary⁶⁸ and all FSRB FURs with TCRR.⁶⁹

Steps in the Post-Plenary Q&C process

166. After changes directed by Plenary and checks for accuracy are made, the FATF Secretariat will circulate the report to all FATF members, associate members, observers and FSRB secretariats (for further circulation to their members)⁷⁰, along with a template for raising Q&C issues for consideration. FSRBs and IMF/WBs should provide their reports to the FATF Secretariat for circulation as soon as possible after adoption. Parties will have two weeks to notify the FATF Secretariat in writing of any serious or major issue of quality or consistency. Parties should use the template provided to indicate their specific concerns and how these concerns meet the substantive threshold.⁷¹ For FSRB or IMF/WB reports, delegations should notify both the FATF Secretariat and the relevant assessment body using the same template.

167. Unless two or more parties,⁷² using the required template, identify the same specific concern before the comment period expires, the post-Plenary Q&C review process is complete at this stage. The FATF Secretariat will advise the parties (and the relevant assessment body, in the case of an FSRB or IMF/WB-led evaluation) accordingly and the report will be published.

⁶⁷ Where the evaluation is conducted by the IMF or World Bank.

⁶⁸ FATF FURs and TCRR reports adopted by written process are not subject to the post-Plenary Q&C process.

⁶⁹ In this section, MERs, DARs and FURs are collectively referred to as *reports*.

⁷⁰ In this section, FATF members, associate members, observers, the FATF Secretariat, and FSRB members and secretariats are collectively referred to as parties.

⁷¹ The substantive threshold is when serious or major issues of quality and consistency are identified, with the potential to affect the credibility of the FATF brand as a whole. Examples of situations meeting this substantive threshold include (but are not limited to) the following:

- a) the ratings, KRA or other recommended actions are clearly inappropriate and not consistent with the analysis;
- b) there has been a serious misinterpretation of the Standards, *FATF Methodology or Procedures*;
- c) an important part of the *FATF Methodology* has been systematically misapplied; or
- d) laws that are not in force and effect have been taken into account in the analysis and ratings of a report.

⁷² At least one of which should have participated in the adoption of the report.

168. If two or more parties identify the same specific concern, the FATF ECG Co-chairs will review the concern to determine whether *prima facie* it meets the substantive threshold and procedural requirements.⁷³ The FATF Secretariat will provide the ECG Co-Chairs with any relevant information on the issue, which may include the following:⁷⁴

- a) information submitted by parties raising the Q&C issue;
- b) any related comments raised at the pre-Plenary stage;
- c) an overview of any discussion of the issue by the working group/Plenary, including the pertinent facts in the report, the co-chairs' report or summary record from the working group/Plenary meeting where the report was discussed, whether the issue was discussed in detail, the outcome of the discussions and any rationale or reasons cited for maintaining or changing the report;
- d) objective comparisons with previous FATF reports that address similar issues;
- e) the report's consistency with the FATF Standards or *FATF Methodology*;
- f) any implications for the follow-up or ICRG processes;
- g) recommendations to resolve the issue, including appropriate next steps.

169. If the ECG Co-Chairs conclude that *prima facie* the substantive threshold and procedural requirements are not met, the FATF Secretariat will present an information paper to Plenary explaining the basis for the Co-chairs' conclusion. The post-Plenary Q&C review process is then complete and FATF Secretariat will advise the parties (and the relevant assessment body, in the case of an FSRB or IMF/WB-led evaluation) accordingly and the report will be published.

170. If the ECG Co-Chairs conclude that *prima facie* the substantive threshold and procedural requirements are met, the Secretariat will circulate the report to all FATF delegations for consideration by the ECG with a decision paper prepared by the FATF Secretariat.⁷⁵ The decision paper will include any relevant information referred to in paragraph 168. The ECG will decide whether the report meets the substantive threshold.⁷⁶

171. If the ECG decides that the report does not meet the substantive threshold, the decision will be reported to Plenary as an information item. The post-Plenary Q&C review process is then complete and the FATF Secretariat will advise the parties (and the relevant assessment body, in the case of an FSRB or IMF/WB led evaluation) accordingly and the report will be published.

172. If the ECG decides that the concerns identified meet the substantive threshold, it will refer the matter to the FATF Plenary with recommendations for the actions needed to resolve the Q&C

⁷³ Procedural requirements are that the same concern is raised by two or more parties, other than the assessed country, one of whom should have participated in the report's adoption; use of the required template; and submission of concerns before the comment period expires.

⁷⁴ For an FSRB or IMF/WB report, the FATF secretariat will liaise with the relevant FSRB Secretariat or IMF/WB to obtain this information.

⁷⁵ For an FSRB or IMF/WB report, the FATF secretariat will prepare this paper in consultation with the relevant assessment body.

⁷⁶ Concerns identified less than four to six weeks before an FATF ECG meeting will be discussed at the next ECG meeting to ensure sufficient time for preparation and consideration of the decision paper.

issue.⁷⁷ The FATF Plenary will decide whether to adopt the recommendations made by ECG and indicate the actions needed to resolve the Q&C issue.

173. In the case of an FSRB or IMF/WB led evaluation, the FATF Secretariat will advise the assessment body of the FATF Plenary’s decision. If the assessment body declines to take the actions indicated by the FATF, the FATF Plenary will consider what further action may be necessary. The assessment body will not publish the report until the issue is resolved and the FATF Secretariat advises that the post-Plenary Q&C review process is complete.

⁷⁷ Next steps might include requesting that the relevant assessment body reconsider elements of the report where the issues of concern are addressed; revise the text of the report as directed to address the concerns raised.

IX. PUBLICATION, MEDIA OUTREACH AND AUXILIARY PROCESSES

Publication of MERs

174. The FATF and FSRBs should publish all MERs on their respective websites to give timely publicity to an important part of the work of FATF and the Global Network. If no concerns are raised during the post-Plenary Q&C process, publication would happen ordinarily within six weeks of the report being adopted. If concerns are raised, the assessment body will publish the report on its website following completion of the post-Plenary Q&C review process.

Publication of Other Documents

175. The general publication policy of the FATF and FSRBs applies to actions taken under the follow-up process. Enhanced follow-up reports and TCRR reports will be published at the conclusion of the post-Plenary Q&C review process.

176. For regular follow-up reports, only the technical compliance analysis is published, as assessment of progress against the KRA Roadmap is not analysed or discussed by Plenary. If requested by a country, a link may be provided from the FATF/FSRB website to a website of the country on which it has placed additional updates or other information relevant to the actions it has taken to enhance its AML/CFT/CPF system, including for effectiveness.

177. Secretariats should endeavour to publish and maintain an up-to-date version of their assessment and follow-up procedures on their public website.

Media Outreach

178. Immediately following the end of the post-Plenary Q&C process an FSRB member's report, the Secretariat will contact the assessed country to plan for the release of the report to the media and determine the most suitable date and time of publication (ideally, within the timelines outlined above). In the case of a joint or IMF/WB-led assessment, the FATF Secretariat will also liaise with the relevant assessment body. Both the assessed country and the Secretariat may provide access to the report under *strict embargo* to selected members of the media no more than one week before publication.

Auxiliary Processes

179. To help ensure the common and consistent interpretation of the FATF Standards and *FATF Methodology* across the Global Network, the FATF approved a mechanism for FSRBs to bring potential horizontal issues to the attention of the FATF.

180. The FATF and FSRBs should have procedures to examine specific voluntary tax compliance programmes⁷⁸ to ensure that they do not impede the effective implementation of AML/CFT/CPF measures.⁷⁹

⁷⁸ The term voluntary tax compliance programmes is defined in the FATF Best Practices Paper on Managing the AML/CFT Policy Implication of Voluntary Tax Compliance Programmes: www.fatf-gafi.org/en/publications/fatfrecommendations/documents/best-practices-managing-vtc.html

⁷⁹ The FATF and FSRBs examine the voluntary tax compliance programmes of their members in line with their own procedures.

APPENDIX 1 – SAMPLE TIMELINES FOR THE MUTUAL EVALUATION PROCESS

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
Pre-ME		As early as possible in advance of ME start date (Procedures para.49, 64)		- Designate points of contact and set up an internal coordination mechanism (as necessary) - Advise Secretariat of the official language in which the country wishes to conduct the assessment - Begin informal engagement on the evaluation, and set a date for assessed country training - Prepare the TC questionnaire template - Assessed country training	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
ME-3 months	On-site visit (OS) – 40 weeks	At least 18 months before the FATF Plenary discussion (para.50)		- Agree on the broad timeline of the evaluation with the Secretariat - Advise the Secretariat which Recommendations are impacted by change to laws, regulations or operational framework	
ME-1 month	OS-32	(para.53)	<i>[Secretariat: - Gather material from previous MERs and FURs; prepare Technical Compliance (TC) Annex template - Form assessment team from countries who volunteered –Advise country of the assessors once the team is confirmed. - FATF Secretariat to invite FATF and FSRB members s to provide information about a) assessed country’s risk situation and any specific issues which should be given additional attention by assessors and b) their international cooperation experiences with the assessed country.]</i>		

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
1	OS-28	At least 7 months before on-site (para.51- 55, 58, 66)	- Review background material, including material from previous MERs and FURs - Review material sent by country including TC submission and discuss risk, context, materiality and scoping with assessed country - Develop understanding of risks, context and materiality - Identify and contact countries for specific outreach on international co-operation and risk. <i>[- Deadline for members and FSRBs to provide information on the risk situation and international cooperation with the assessed country – Secretariat to share feedback with country]</i>	- Fix the precise dates for the evaluation on-site visit as well as the timelines for the whole process in consultation with the Secretariat. - Submit completed TC questionnaire, providing updated information including on risk and context and scoping material, and material relevant to core issue 1.1 to assessment team	
	OS-25	(para.58)	- Facilitated by the Secretariat: a) Engage with assessed country to discuss understanding of risk, context and materiality. b) Prepare preliminary draft scoping note in consultation with the assessed country. (2 weeks)	- Facilitated by the Secretariat, engage with assessment team, including oral presentation on risk, context and materiality - Respond to or supplement any risk and international co-operation information received	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
2	OS-24	6 months before on-site (para.61)	- Finalise and send draft scoping note and any other relevant background information to reviewers and country	- Review and comment on draft scoping note (2 weeks)	- Review draft scoping note and other relevant background information (2 weeks)
	OS-22	(para.61, 67–71)	- Consider assessed country and reviewer comments and amend the scoping note as needed, in consultation with the country (1 week) - Complete initial TC analysis based on the TC Annex template received from Secretariat; give preliminary views on whether each criterion is met, mostly met, partly met or not met. Give preliminary views on the overall rating for each Recommendation, if possible (2 weeks)		
3	OS-20	5 months before on-site (para.72)	- Revise and finalise 1 st draft TC annex and send to country	- Review 1 st draft TC annex (3 weeks)	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
	OS-17	(para.73)	- Consider and incorporate country's comments on 1 st draft TC annex (3 weeks)		
4	OS-16	4 months before on-site (para.74)		- Provide material on effectiveness based on the 11 Immediate Outcomes and the underlying core issues	
4	OS-14	(para.73)	- [Secretariat: Finalise 2 nd draft TC annex		
5	OS-12	3 months before on-site (para.73)	- [Secretariat: send to country and reviewers]	- Review and comment on 2 nd draft TC Annex (3 weeks)	- Review and comment on 2 nd draft TC annex (3 weeks)
	OS-9	(para.73)	- Consider and incorporate country and reviewer comments on 2 nd draft TC annex		
6	OS-8	2 months before on-site (para, 74, 76)	- Send outline of initial findings, questions and requests for further information on effectiveness to assessed country - Review draft on-site programme (2 weeks)	- Provide draft programme for on-site visit to the assessment team, and point of contact for on-site logistics	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
	OS-6	6 weeks before on-site (para.56, 62, para.75-76)	<i>[- Deadline for the countries subject to specific outreach to provide information on the risk situation and international cooperation with the assessed country – Secretariat to share feedback with assessed country]</i> - Review risk and scoping information based on the country's effectiveness submission and update scoping note; request additional information on areas of increased focus - Finalise areas of increased focus and decreased focus and key government agencies and private sector to meet for on-site visit - Develop potential recommended actions for discussion (2 weeks)	- Provide comments on the findings and Respond to questions and requests for information on effectiveness materials to assessment team	
	OS-5		- Provide comments to assessed country on draft on-site programme		
7	OS-4	1 month before on-site (para.76)	- Send potential recommended actions for discussion to the assessed country		
	OS-3	Approximately 3 weeks before on-site (para.79)	- Facilitated by Secretariat, assessment team and assessed country finalise programme and logistical arrangements for on-site		

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
	OS-2	At least 2 weeks before the on-site		- Provide responses to any outstanding questions from assessment team	
8	OS-0	(para.81-85)	ONSITE VISIT (Approx. 13 to 16 working days ⁸⁰)		
9	Plenary discussion (P)-29 weeks	Within 5 weeks from the end of the on-site visit (para.89)	- Prepare 1 st draft MER and Key Recommended Action KRA Roadmap, including updated TC Annex (4 weeks)		
10	P-25		- Finalise 1 st draft MER and KRA Roadmap and send to country (1 week)		
	P-24	(para.90)	- Facilitated by Secretariat, liaise with assessed country as needed	- Respond to 1 st draft MER and KRA Roadmap (4 weeks)	
11	P-20	(para.91)	- Consider country response, and prepare 2 nd draft MER, KRA Roadmap and updated TC annex (3 weeks)		

⁸⁰ This reflects the average length of an on-site visit. Actual time needed may be shorter or, in exceptional cases longer, based on the size and complexity of the jurisdiction.

ME Month	Week	Date notes		Key Indicative Milestones		
				For Assessment Team	For Assessed Country	For ME Reviewers
12	P-17			- Finalise and send 2 nd draft of MER and KRA Roadmap to country and reviewers (1 week)		
	P-16	(para.93, 95)			- Respond to 2 nd draft MER and KRA Roadmap (3 weeks)	- Review 2 nd draft MER and KRA Roadmap (3 weeks)
13	P-13	Minimum 13 weeks before Plenary (para.97)	- Consider country and ME reviewers' comments received on the second draft MER and KRA Roadmap (4 weeks)			
	P-11	Minimum 11 weeks before Plenary (para. 99)		Facilitated by the Secretariat, assessment team and assessed country engage to identify issues for discussion at the face-to-face meeting.		
14	P-9	Minimum 9 weeks before Plenary (para.100)		Face-to-face meeting (1.5 days)		
				- Work with country to resolve potential disagreements and identify potential priority issues for Plenary discussion	- Work with assessment team to resolve potential disagreements and identify potential priority issues for Plenary discussion	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
		(para.101)	- Consider any further changes to be made to the draft MER or KRA Roadmap- Prepare Executive Summary in consultation with assessed country	- Consult with assessment team regarding Executive Summary	
	P-6	At least 6 weeks before Plenary (para.104)	Circulate final draft MER (along with reviewers’ comments, assessed country’s views and assessment team responses) to all delegations for a 2-week comment period		
15	P-4	(para.104, 105)	- Consider delegation comments - Identify priority issues for Plenary discussion		
			<i>[Secretariat - Prepare compilation of delegation comments with responses Relevant WG CCs/ Secretariat - in consultation with assessment team, assessed country, develop Key Issues Document (KID)] (2 weeks)</i>		
	P-2	Two-week period before Plenary (para.105-106)	- Engage country on priority key issues and other comments received on MER or Executive Summary	- Work with assessment team on KRA and other comments received on MER or Executive Summary.	

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
			- Review and provide input on priority key issues and other comments received on MER or ES. <i>[Secretariat- Circulate a) the compilation of delegation comments and b) the finalised KID]</i>		
	P-0		Plenary discussion of MER		
Post-Plenary	P+3	(para.112)	- Modify report as directed by Plenary and perform accuracy checks (1 week) <i>[Secretariat- Circulate report to delegations for 2-week comment period]</i>	- Confirm MER is accurate and advise of any typographical or similar errors (2 weeks)	
	P+5	- Deadline for delegation comments (para.166-173)	Post-Plenary Quality & Consistency Review: - If no concerns are raised during post-plenary Q&C, MER proceeds to publication. - If concerns are raised, Secretariat facilitates discussions and circulates revised text for 1-week comment period.		
		(para.178)	Media Outreach: - Work with Secretariat to Develop press materials		
	Ordinarily P+6 (or later if post-	(para.174)	Publication of document: - If no concerns are raised during post-plenary Q&C, publication would ordinarily happen within 6 weeks of the report being adopted		

ME Month	Week	Date notes	Key Indicative Milestones		
			For Assessment Team	For Assessed Country	For ME Reviewers
	Plenary Q&C triggered)		- If concerns are raised, the assessment body will publish the report on its website following completion of the post-Plenary Q&C review process.		
		(para.114)	- President/Chair writes to Minister regarding the KRA Roadmap		

APPENDIX 2 – TIMELINES FOR THE FOLLOW-UP PROCESS

Regular Follow-up

<u>FUR month</u>	<u>Week</u>	<u>Date notes</u>	<u>Key Indicative Milestones</u>		
			Expert(s)	Secretariat	Country
1	P-28	7 months before the relevant Plenary meeting (para.138)		<i>If the country requests TCRR:</i> - Confirm expert(s) from countries that volunteered/pool of experts - Prepare the adapted Technical Compliance (TC) analytical tool template based on the deficiencies in the MER to facilitate country's TC submission (2 weeks)	- Inform Secretariat whether it is requesting TCRR and, if so, identify which Recommendations are implicated
<i>If the country requests TCRR</i>					
2	P-24	6 months before the relevant Plenary meeting (para.138)	- Review and analyse any requests for TCRR. (4 weeks)		- Submit TC update and re-rating request to the Secretariat
3	P-20			- Finalise and send draft TC analytical tool to the country. (1 week)	
	P-19				- Provide comments on draft TC analytical tool (2 weeks)

<u>FUR month</u>	<u>Week</u>	<u>Date notes</u>	<u>Key Indicative Milestones</u>		
	P-17		- Consider country comments on TC and make necessary edits - Draft FUR related to TCRR requests.	- Consolidate TC analytical tool, send revised FUR and tool to assessed country (2 weeks)	
4	P-15				- Provide final comments on FUR and TC analytical tool (1 week)
	P-14				- Submit self-assessment of progress made against KRA roadmap
				- Draft cover note for progress made against KRA roadmap and incorporate it into the draft FUR (2 weeks)	
5	P-12		- All parties agree on the version of the report which will be circulated to delegations (2 weeks)		
	P-10	At least 10 weeks pre-plenary (para.156)		- Circulate draft FUR to delegations for 2-week comment period	
<i>If the country does not request TCRR</i>					
6	P-8	2 months pre-plenary (para.139)		- Prepare summary of self-assessment and send to country for comment (2 weeks)	- Submit self-assessment of progress made against KRA roadmap
	P-6				- Comment on draft summary (1 week)
		No later than 2 weeks before Plenary		- Circulate FUR (self-assessment and summary) to delegations <u>for information</u>	

N.B. This timeline is an example and does not include all possible steps of adoption by written process if comments are received.

Enhanced Follow-up

<i>FUR month</i>	<i>Week</i>	<i>Date notes</i>	<i>Key Indicative Milestones</i>		
			Expert(s)	Secretariat	Country
1	P-36	9 months before relevant Plenary meeting (para.145)		- Confirm expert(s) from countries that volunteered/pool of experts - Prepare the adapted Technical Compliance (TC) analytical tool template based on the deficiencies in the MER to facilitate country's TC submission (2 weeks)	- Inform Secretariat which Recommendations it is requesting to be re-rated
2	P-32	8 months before the relevant Plenary meeting (para.145)	- Review and analyse the extent to which the country has addressed KRAs (including any KRA related to TC) (3 weeks)		- Submit information to support country's progress made against Key Recommended Actions (KRA) roadmap - Submit TC update and re-rating request to the Secretariat
	P-29		- Liaise with Secretariat on questions for assessed country and draft analysis of progress against KRA (2 weeks)		- Respond to questions and requests for information from experts
3	P-27		- Analysis of TC re-rating requests (4 weeks)	- Prepare the 1 st draft KRA analysis and send to the country (2 weeks)	
	P-25				- Provide comments on draft analysis of progress against KRA roadmap (3 weeks)
4	P-23			- Finalise draft analysis on TC re-rating request and send to country (1 week)	
	P-22		- Consider country comments on KRA progress and make necessary edits. Draft FUR and send revised KRA analysis to country (2 weeks)		- Provide comments on draft TC analytical tool (2 weeks)
5	P-20		- Consider country comments on TC and make necessary edits. Incorporate updated TC analysis into draft FUR (2 weeks)		- Provide comments on revised analysis of progress against KRA roadmap (3 weeks)
	P-17		- Consider country comments on revised KRA and make necessary edits. Finalise FUR. (2 weeks)	- Send FUR and analytical tool to country for review	
6	P-15				- Provide final comments on revised FUR (including TC analytical tool and analysis

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					of progress against KRA roadmap) (3 weeks)
7	P-12		- Facilitated by the Secretariat, all parties agree on the version of the report which will be circulated to delegations (2 weeks)		
	P-10	At least 10 weeks pre-plenary (Para.156)		- Circulate draft FUR to delegations for 2-week comment period	

N.B. This timeline is an example and does not include all possible steps of adoption by written process if comments are received.

APPENDIX 3 – AUTHORITIES AND BUSINESSES TYPICALLY INVOLVED FOR ON-SITE VISIT⁸¹**Ministries:**

- Ministry of Finance
- Ministry of Justice, including central authorities for international co-operation
- Ministry of Interior
- Ministry of Foreign Affairs
- Ministry responsible for the law relating to legal persons, legal arrangements, and non-profit organisations
- Other bodies or committees to co-ordinate AML/CFT/CPF action, including the assessment of the money laundering and terrorist financing risks at the national level

Criminal justice and operational agencies:

- The FIU
- Law enforcement agencies including police and other relevant investigative bodies
- Prosecution authorities including any specialised confiscation agencies
- Customs service, border agencies, and where relevant, trade promotion and investment agencies
- If relevant - specialised drug or anti-corruption agencies, tax authorities, intelligence or security services
- Task forces or commissions on ML, FT, PF or organised crime

Financial sector bodies:

- Ministries/agencies responsible for licensing, registering or otherwise authorising financial institutions
- Supervisors of financial institutions, including the supervisors for banking and other credit institutions, insurance, and securities and investment
- Supervisors or authorities responsible for monitoring and ensuring AML/CFT/CPF compliance by other types of financial institutions, in particular bureaux de change and money remittance businesses
- Exchanges for securities, futures and other traded instruments
- If relevant, Central Bank

⁸¹ When AML/CFT/CPF issues are addressed not just at the level of the national government, but also at supra-national, state/province or local levels, the assessed country should also facilitate access to supra-national, state/province or local authorities and agencies. See Procedures for conducting assessments in the supra national context (paragraph 17) and the *FATF Methodology* paragraphs 27 - 31.

- The relevant financial sector associations, and a representative sample of financial institutions (including both senior executives and compliance officers, and where appropriate internal auditors)
- A representative sample of external auditors

DNFBP, VASP and other matters:

- Casino supervisory body
- Supervisor or other authority or Self-Regulatory Body (SRB) responsible for monitoring AML/CFT/CPF compliance by other DNFBPs
- Supervisors or authorities responsible for monitoring and ensuring AML/CFT/CPF compliance by VASPs
- Registry for companies and other legal persons, and for legal arrangements (if applicable)
- Bodies or mechanisms that have oversight of non-profit organisations, for example tax authorities (where relevant)
- A representative sample of professionals involved in non-financial businesses and professions (managers or persons in charge of AML/CFT/CPF matters (e.g., compliance officers) in casinos, real estate agencies, precious metals/stones businesses as well as lawyers, notaries, accountants and any person providing trust and company services)
- Any other agencies or bodies that may be relevant (e.g., reputable academics relating to AML/CFT/CPF and civil societies)

Efficient use has to be made of the time available on-site, and it is therefore suggested that the meetings with the financial sector, DNFBP and VASP associations also have the representative sample of institutions/DNFBP/VASP present.

APPENDIX 4 – QUESTIONNAIRE FOR THE INTRODUCTION TO MONEY LAUNDERING AND TERRORIST FINANCING RISKS AND CONTEXT

INSTRUCTIONS

Instructions for the assessed country

The **assessed country** should briefly summarise any significant developments in their AML/CFT/CPF system which have taken place since the MER or the last follow-up report. In particular, identify any changes to risk and context that are relevant to any Recommendations to be re-assessed (e.g., a dramatic increase in the number of companies registered would be relevant context in the re-rating of R.24). This includes:

- New risk and context information, including new national risk assessments, predicate or ML/TF threat profile, and significant changes to the structure of the financial institutions, DNFBP and VASP sectors. This information will assist experts in weighing the relative importance of each criterion in the re-rating.
- Major new AML/CFT/CPF laws.
- Significant changes to co-ordination arrangements, competent authorities, or significant reallocation of responsibility between competent authorities.

For further details, the **assessed country** should see the *FATF Methodology for Assessing Technical Compliance with the FATF RECOMMENDATIONS and the Effectiveness of AML/CFT/CPF Systems*, Annex 1, MER Template for the Introduction to Money Laundering and Terrorist Financing Risks and Context.

[For example, since the mutual evaluation, the following major changes have been made to Country X's AML/CFT/CPF framework:

- Country X completed and published its second ML risk assessment in 2018 (Annex B).
- Country X passed the 'Law on Suspicious Transaction Reporting (2018)' which came into effect on 12 June 2018.
- Responsibility for investigating suspicious transactions has been transferred from the Ministry of Interior to the FIU as of 23 August 2018, according to Government Order number 2018-1503.]

Size and Structure of the Financial, DNFBP and VASP Sectors

AML/CFT/CPF Preventive Measures for Financial Institutions, DNFBPs and VASPS (R.10 to R.23)

Type of Entity*	No. Licensed / Regulated / Registered	AML/CFT/CPF Laws** / Enforceable Means for Preventive Measures	Date in Force or Last Updated (where applicable)	Other additional Information (e.g., highlights of substantive changes etc.)***
Banks				
Life Insurers				
Securities				
MVTS				
VASPS				
Casinos				
Lawyers				
Notaries				
Accountants				
Precious Metals & Stones Dealers				
Trust and Company Service Providers				
Others				

* Additional rows may be added for other type of financial institutions and DNFBPs. Countries may also choose to have more granular and specific classification of the types of financial institutions and DNFBPs.

** Countries should indicate the specific provisions in the AML/CFT/CPF laws that set out the customer due diligence, record keeping and suspicious transaction or suspicious activity reporting obligations.

*** Where there have been changes since its last update or where relevant, countries should also set out the specific provisions in the AML/CFT/CPF laws or enforceable means and key highlights of the obligations for other preventive measures (e.g., politically exposed persons (PEPs), wire transfers, internal controls and foreign branches and subsidiaries etc.).

Legal Persons and Arrangements (R.8, R.24 and R.25)

Type of Legal Persons / Arrangements*	No. Registered (where available)	Applicable Laws / Regulations / Requirements	Date in Force or Last Updated (where applicable)	Other additional Information (e.g., highlights of substantive changes etc.)**

* Additional rows may be added for other type of legal persons or arrangements. Countries may also choose to have more granular and specific classification of the types of legal persons or arrangements.

** Countries should indicate the specific provisions in the applicable laws / regulations / requirements and key highlights that set out the obligations to maintain the requisite information in R.24 (e.g., basic and beneficial ownership) and R.25 (e.g., settlors, trustees, protectors (if any), the (class of) beneficiaries, and any other natural person exercising control) respectively.

APPENDIX 5 – INFORMATION ON UPDATES MADE TO THE UNIVERSAL PROCEDURES

DATE	DESCRIPTION OF AMENDMENTS	SECTIONS SUBJECT TO AMENDMENTS
June 2026	Amendments relating to the list of sources used for the Scoping Note, preparation for the Face-to-Face meeting and the 24 hour fatal flaw check.	Paragraphs 59, 96, 96bis, 96ter, 97 and 98. These paragraphs are currently numbered 59, 97, 98 ,99, 100 and 101.
	Re-numbering of paragraphs to prepare for publication.	Entire document.
December 2025	Amendments to implement simplified TC Approach and relating to the pre-on-site deliverables.	Paragraphs 50, 63, 64, 65, 65bis, 66, 67, 68, 70 and 71. These paragraphs are currently numbered 50, 63, 64, 65, 66, 67, 68, 69, 71 and 72.
June 2025	Amendments to address unintended consequence issues related to NPOs.	Paragraph 130bis. This paragraph is currently numbered 134.



UNIVERSAL PROCEDURES 2023 - CONSOLIDATED PROCESSES AND PROCEDURES FOR MUTUAL EVALUATIONS AND FOLLOW-UP

All assessment bodies should conduct mutual evaluations for compliance with the FATF Recommendations, in accordance with the Consolidated Processes and Procedures for Mutual Evaluations and Follow-Up (Universal Procedures).

These Universal Procedures apply to assessments of effective implementation and technical compliance in accordance with the FATF Assessment Methodology 2023.